EQUITY Trustees

ANNUAL REPORT 2006

Company Profile

Where We Came From

Equity Trustees Limited was established as a trustee and executor service provider by a special act of the Victorian Parliament in 1888. We are a publicly listed company on the Australian Stock Exchange.

What We Do

We are a financial services institution offering a comprehensive range of financial products and services aimed at growing, managing and protecting wealth.

Our specialist services include providing estate management services, trustee services, legal, financial and taxation advice, personal investment advice – including superannuation – and responsible entity services for external fund managers.

We assist Not-For-Profit and charitable organisations with their services and financial product needs and offer philanthropy advice to families and individuals seeking to establish charitable trusts.

Where We're Headed

We have come a long way in 118 years from our origins as a trustee company. Today we are a dynamic financial services institution, and will continue to grow the breadth and quality of the products and services we offer.

Contents

Paul Pradolin, Trust Manager & Nick Simpson, Business Development Officer

Highlights

"In this third year since the implementation of our turnaround strategy, I am very pleased to be able to deliver to shareholders extremely strong financial performance and to report on a solid foundation for future growth."

– Peter Williams, Managing Director

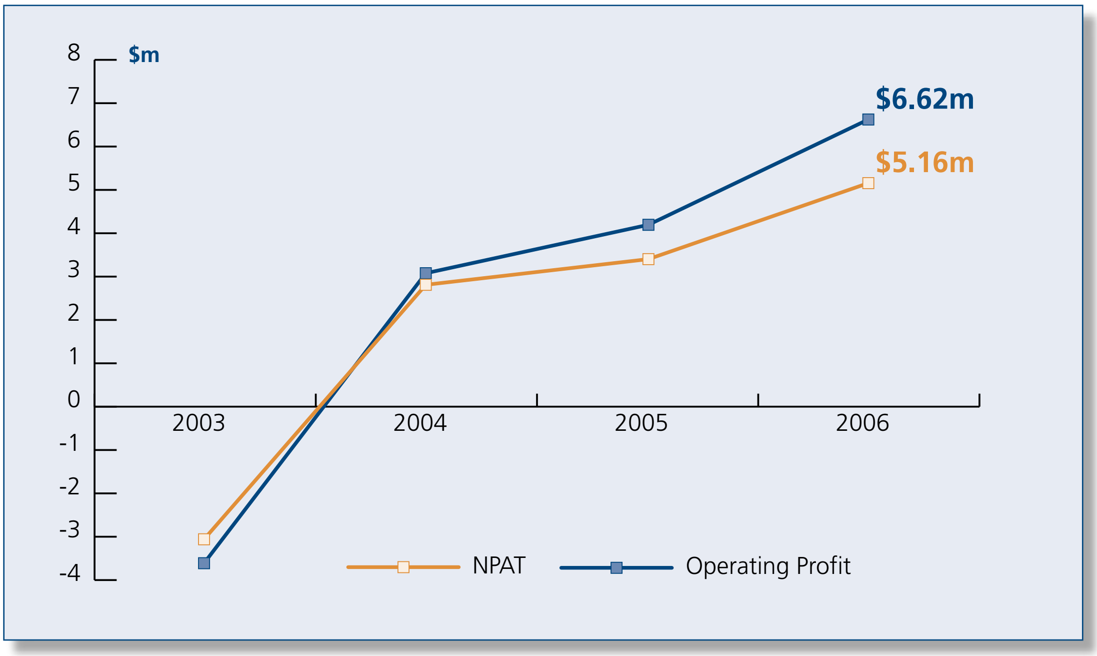
Highlights

	2006	vs 2005
Operating Revenue*	$24.8m	↑ 25.0%
Operating Profit* (pre-tax)	$6.6m	↑ 57.9%
Operating Profit* (post-tax)	$4.7m	↑ 74.9%
Net Profit (post-tax)	$5.2m	↑ 51.5%
Earnings per Share (basic)	69.94¢	vs 52.98¢
Dividend per Share (fully franked)	50¢	vs 40¢

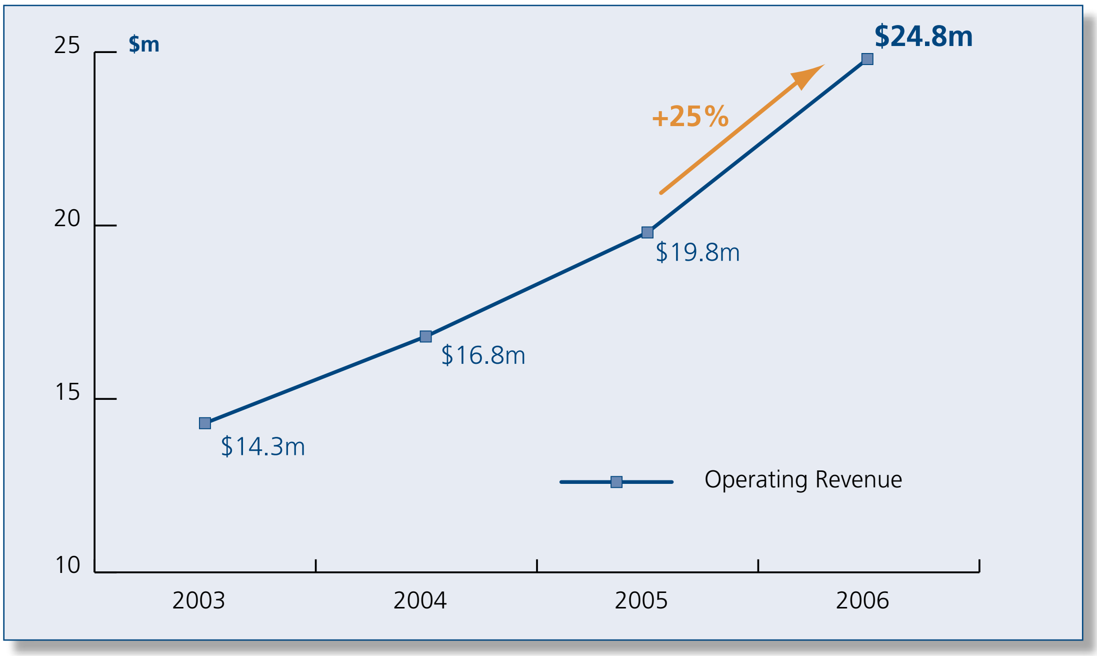
* Excludes gains from the sale of investments

Bottom Line

Operating profit (pre-tax) and Net Profit after Tax

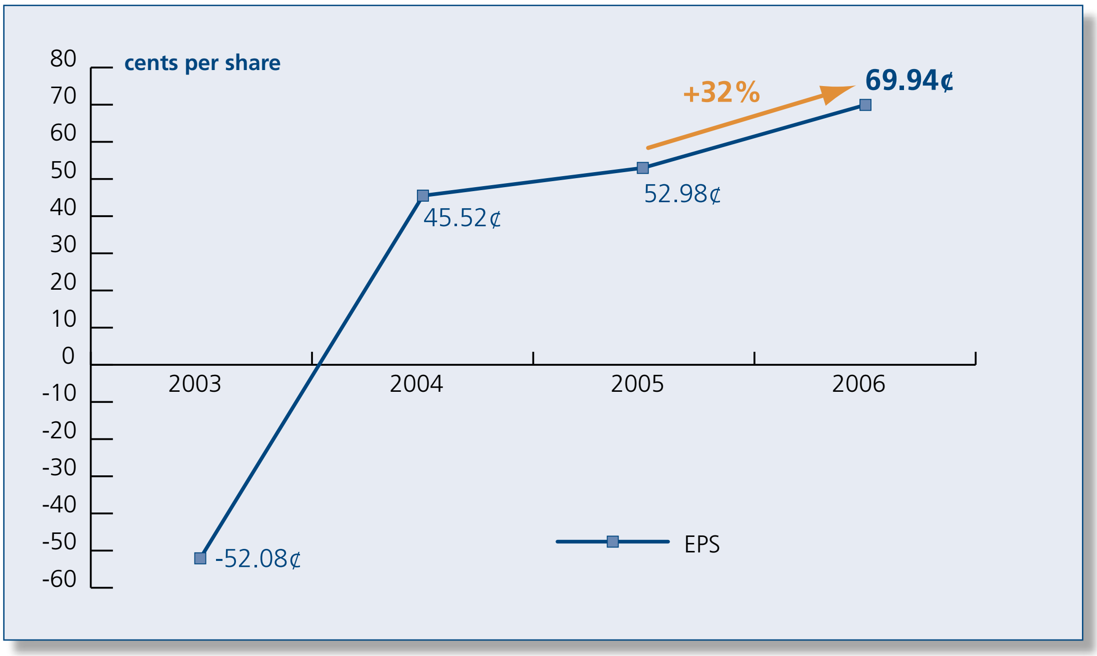


Operating Revenue

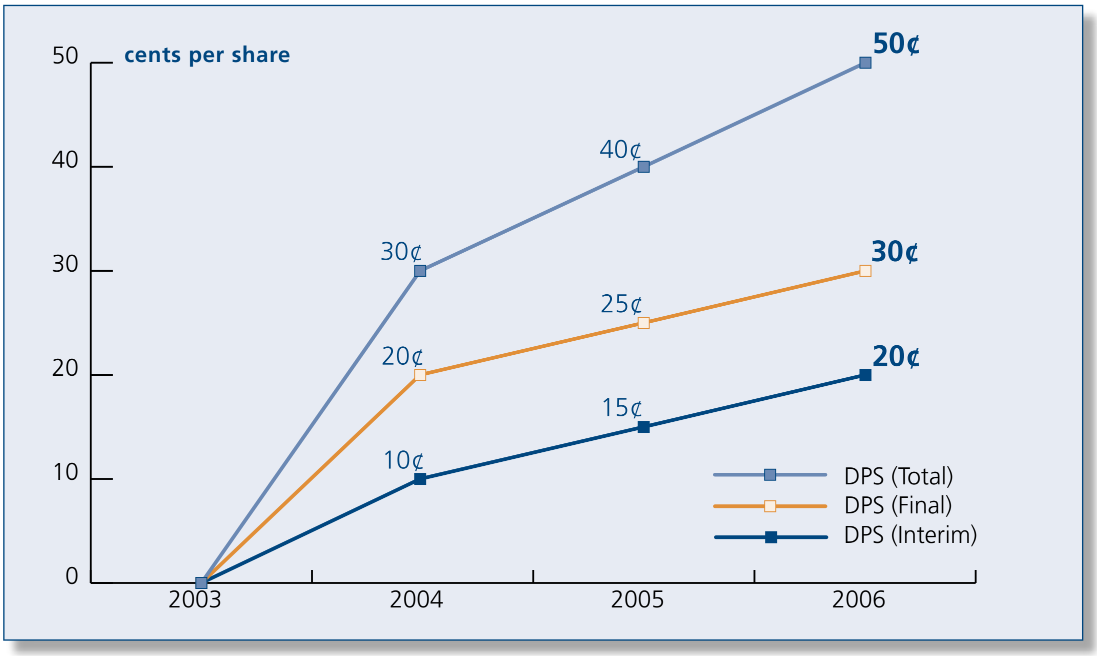


Bottom Line (cont)

Earnings per share



Dividends per share



Equity Trustees' Board of Directors left to right –
Peter Williams, John McConnell, Barry Jackson, Philip Molyneux, Tony Killen, David Groves, Ross Illingworth

Chairman's Report

"The 2005/06 result is yet another significant development, indicative of the underlying strength of our existing business"

Philip Molyneux, Chairman

I am delighted to report that Equity Trustees Limited has recorded the strongest financial performance in its 118 year history.

The 2005/06 result is yet another significant development, indicative of the underlying strength of our existing business.

From this strong base we believe that we are very well positioned to undertake an aggressive growth strategy.

Shareholder value

Earnings Per Share (EPS) for the 2006 financial year increased by 32.0% to 69.94 cents per share (52.98 cents per share in 2005). Net profit after tax increased to $5.16m up 51.5% from the previous year of $3.40 million.

It is pleasing to see such a strong increase in EPS, particularly when the capital raising conducted during the year is taken into consideration.

The Board remains committed to increasing returns to shareholders and I am pleased to report that we have maintained the dividend payout ratio at the upper end of our target, being 60-80% of operating profit after tax (excluding profit on sale of investments). Equity Trustees will pay a final dividend of 30 cents per share (fully franked) to those holding Equity Trustee shares as at 26 September 2006. This represents a 20% increase on last year's final dividend. With the interim dividend of 20 cents per share (fully franked) paid in March 2006, shareholders will receive total dividends for the year of 50 cents per share (compared with 40 cents per share last year). This represents an overall increase of 25%.

Equity Trustees Not-For-Profit CEO Awards

As part of the company's reinvigorated marketing strategy, Equity Trustees is continually seeking appropriate opportunities to provide support to the broader community in which we operate.

There is a strong connection between Equity Trustees and the Not-For-Profit sector, and in October 2005 the company held its fourth Equity Trustees Not-For-Profit CEO Awards – awards which recognise those members of our community who contribute their time and considerable talents to philanthropic causes. Working in conjunction with Philanthropy Australia, this was the largest and most successful event that the company has staged.

It is remarkable to reflect on how far this event has come in just four years. The 2005 event was staged at Melbourne Park, attended by several hundred people. We look forward to the fifth awards event in October 2006.

It is pleasing, too, to report on two new community initiatives. The first is our support of the National Stroke Foundation, with whom we have developed a close relationship. The Foundation is seeking to save 110,000 lives from death and disability due to stroke over the next 10 years. In support of this, the company sponsored the inaugural Equity Trustees Counterstroke Golf Classic in February 2006.

Held over five days and attracting more than 750 players, the event raised substantial funds for the Foundation while participants learned more about the causes and condition of strokes.

The company also held its inaugural Equity Trustees Pope's Eye Couta Boat race at the Sorrento Sailing Couta Boat Club in mid-January 2006. The event assisted in raising our company's profile with a key demographic while also contributing to the club's campaign to promote safe sailing practices, particularly to young participants. We look forward to this becoming an annual event.

Looking forward

Not only do we remain the only Victorian based independent trustee company; we have become a significant player in the Australian financial services landscape.

The company has been selective in the businesses that we have chosen to develop, and we have focused on ensuring that those businesses have the necessary levels of support to enable them to seek new sources of revenue beyond our traditional boundaries.

We are now well placed to expand our horizons further and to concentrate on achieving 'step-growth' – undertaking to aggressively grow our business through activities that complement the strong levels of organic growth that we are achieving.

Part of this involves a plan to expand our reach along the eastern seaboard into New South Wales and Queensland, a strategy that is already being undertaken. Beyond this we remain committed to investigating possible merger and acquisition opportunities through which the company might be able to rapidly increase its size and scope.

Internal resources have already been allocated to a number of projects to develop such opportunities and we will be communicating any progress to shareholders.

The company is well positioned to execute our 'step growth' project. We have retained a strong capital base, boosted in part by the capital raising undertaken in the latter part of 2005.

We have the skills, the determination, the infrastructure and the financial base from which to undertake the next phase of the company's development.

The composition of the Board

Effective 31 August 2006, Ross Illingworth tendered his resignation from the board of Equity Trustees.

The board has decided to retain its remaining composition of six people, being five non-executive directors plus the Managing Director. The board acknowledges the contribution Ross Illingworth made during his three year tenure.

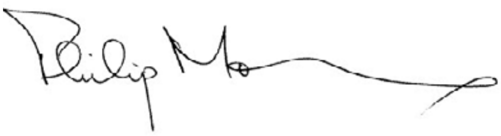
Thank you

Firstly, to our shareholders who have stuck with us through the bad times, and now the good.

To Equity Trustees' clients and strategic partners who continually drive us to aim higher and perform better.

To my fellow directors for their support, counsel and invaluable contribution.

And lastly, to Peter Williams and his staff who are committed to performing their roles to the highest standard.



Philip G Molyneux
Chairman

Todd Sormaz, Investment Accountant & Lucy Smith, Junior Client Relationship Manager

Managing Director's Report

"There is a marked contrast in our business today compared with three years ago – a fact displayed in the strength of our results."

In this third year since the implementation of our turnaround strategy, I am very pleased to be able to deliver to shareholders extremely strong financial performance and to report on a solid foundation for future growth.

Net profit after tax for the 2005/06 financial year, including gains from the sale of investments, was $5.16m, a 51.5% increase on the previous year of $3.40m.

The strength of this result enabled us to announce a fully franked final dividend of 30¢ per share (25¢ per share previously), bringing the full year dividend to 50¢ per share (40¢ per share previously).

Total revenue for the year was $25.34m, 23.1% higher than last year of $20.59m. Our operating revenue (excluding any gains from the sale of investments) was up 25.0% at $24.76m, while our operating profit (also excluding gains from the sale of investments) was $6.62m, 57.9% higher than that achieved last year.

Importantly, our operating margin was up to 26.8% (previously 21.2%), indicating that we are maintaining a lower growth in costs than the growth we are generating in revenue.

These are the sort of numbers of which all shareholders, clients and staff should be proud. There is a marked contrast in our business today compared with three years ago, a fact displayed in the strength of our results. Our staff are not satisfied with resting on recent successes and are constantly pushing the business forward. On this basis I am confident that Equity Trustees is on a strong footing.

The year in detail:

Those familiar with the strategy established in 2003 will know that we have structured the company around four key business units complemented by a number of support units.

Each of our business units is well established, yet remains flexible enough to be able to respond to the challenges and opportunities that each market presents.

Business unit	Nature of business	Funds under management	Share of operating revenue
Funds Management	The provision of EQT branded managed funds to the retail / platform market. Funds are managed through external investment management alliances.	$1.4b	32%
Private Clients	Traditional trustee company activities – such as trust management, executorial services and philanthropy – plus private client wealth management services.	$1.3b	26%
Fund Services	Specialised fiduciary relationships, including responsible entity services for managed and superannuation funds and corporate trust roles.	$11.1b	23%
Superannuation	Services to business and individuals through the Wealthpac master trust and the provision of DIY superannuation expertise.	$0.4b	19%

For the third year in succession each of our business units increased revenue on a year on year basis and also grew the level of funds being administered.

Funds Management

An increase in net funds inflow in 2005/06 is the culmination of several hard years of work in establishing EQT co-branded funds in the retail and platform market. We also continue to see strong demand for our funds from our own Private Client business unit.

We now boast a total of $1.4b under management (previously $1.0b) across 24 EQT funds covering several major asset classes. Revenue increased to $7.48m (up from $6.37m).

Our funds management model has evolved through alliances with some leading domestic and international investment managers. These alliances include companies with global reach such as PIMCO and IVI as well as those with a predominantly domestic focus such as SG Hiscock & Co, Grange Asset Management and MIR Investment Management.

Equity Trustees complements the skills of the above managers with our sales, marketing and product management resources in getting the investment funds to market. The combined skills are reflected in an increasing collection of awards (see page 17).

Private Clients

Operating across several, mostly mature, markets our Private Client team continues to deliver improving levels of service to a growing client base.

This business unit now manages $1.3b of assets on behalf of its clients (up from $1.0b last year). Revenue increased to $6.05m ($5.93m previously).

Its ongoing challenge is to remain relevant to a fast moving, highly competitive market place. While traditional trustee roles such as trust management, executorial services and philanthropy remain strong, consistent sources of revenue, Private Clients' main growth is likely to come from demand for sophisticated wealth management solutions.

In line with this it is pleasing to see sound growth in client numbers for our private wealth management service – 'Portfolio Manager'. Offering three levels of portfolio management and advice, this leverages our in-house asset management skills to deliver independent, bespoke client solutions.

Our marketing efforts have focussed mainly on our Portfolio Manager service and all staff within Private Clients are to be congratulated for the manner in which they have contributed to the improvement of this business.

Fund Services

Coming from a solid base last year, our Fund Services team has recorded 78.1% increase in revenue in 2005/06 to $5.56m.

The growth in our Responsible Entity (RE) business is a major reason for this spectacular revenue performance. RE funds under management now totals $11.1b (previously $7.7b).

During the year we established relationships with RE clients of the ilk of Cohen & Steers, Putnam, Voyager, Armytage private and Orbis. These names add to an already very impressive list that includes: PIMCO, BNP Paribas Asset Management, SG Hiscock & Company, Grange Asset Management, K2 Asset Management, MIR Investment Management, Lloyd George Asset Management and Vertex Capital Management.

In addition to the growth in RE services, we are also seeing an increasing demand for superannuation responsible entity and corporate trustee roles.

A common thread among the services offered by this business unit is a high degree of specialisation and the ability to respond quickly to all legal and compliance demands.

Managing Director's Report (cont)

Superannuation

We are pleased that the legal dispute pertaining to the sale of the Wealthpac master trust was concluded in February and that the matter has not detracted from the growth of the business.

As at 30 June 2006, the Wealthpac master trust has funds under administration of $400m (previously $319m). Revenue for the 12 months was $4.45m (previously $3.36m).

The master trust is a 'fund of funds' model predominantly marketed to small to medium sized enterprises. Given the increase in the size of the superannuation industry, mainly due to Federal legislation, we anticipate continued strong demand for the trust and consider that we are well placed to meet the demands of the market.

I would like to thank Rob Dillon, the outgoing Managing Director of Wealthpac Australia Limited (WAL), for his considerable contribution to the business. From 30 June 2006, Adrian Young has assumed the Managing Director's role, while Rob will take up the position of non-executive Chairman of WAL.

Equity Trustees also remains committed to providing DIY superannuation solutions for our private client base. Given the ongoing change in the industry, we have recently revised our product offering to make it easier for clients to access. This service is offered through our Private Client business unit.

Support services

As a service industry, the quality of our people remains our key asset. I continue to be impressed by the dedication and drive that our people show to make our business better. Many of our staff are also shareholders, seeing the fruit of their hard work through the value of their shareholding and through the dividends paid.

Through our 'people strategy' we are continually searching for the best available staff for our business and for ways to retain quality people at Equity Trustees.

A major focus over the last 12 months has been in marketing. In line with the growth in our revenue, we have increased our focus on promotion and communication as a means of assisting in drawing in more new business. This is not a short term strategy but it is pleasing to see an increase in the company's profile in the markets in which we compete as well as in the community in general – as is reflected throughout this report.

Our Operations team continues to set very high standards of accuracy and efficiency in the delivery of custody, administration and other 'back-office' function to our clients. It is a credit to this team that we are increasingly marketing their services to external clients who are able to benefit from our expertise.

In line with the improvement in our Operations function is the ongoing integration of our new Information Technology system. This market leading technology has been specifically designed for our business needs and has now been operational for over 12 months, generating improvements in efficiency.

Our Corporate Services team and Finance team are to be congratulated for their efficient implementation of the A-IFRS accounting standards while ensuring that the change over to our new reporting system was executed without disruption to our normal reporting schedule.

The year ahead

As our Chairman has outlined, the focus of the year ahead is very much one of growth and building the business.

We will continue to devote resources to ensuring that our existing business lines continue to perform at high levels and we are confident that each area of operation is well placed to tackle the challenges that lie ahead in 2006/07.

Managing Director’s Report (cont)

The enhancement to our strategy in the coming year will be to turn our attention to achieving growth through acquisition activity – focusing on businesses that we consider to be complementary to our existing operations.

We have already put resources in place to investigate opportunities and we will keep all shareholders abreast of developments. Based on the results achieved in 2005/06 we are confident that we are approaching the next phase of our growth from a strong base.

Thank you

I am grateful for the ongoing leadership and direction shown by our Board of Directors, by our management team and by our staff within the business, all of whom should be proud of the results achieved over the last 12 months and indeed the last three years.

I also extend my thanks to our clients, beneficiaries, strategic partners and shareholders for their ongoing support.

Peter Williams
Managing Director

2005-06 Industry Awards (Equity Trustees-branded funds)

Money Management/IMCA Fund Manager of the Year Awards (May 2006)

MIR Investment Management:

- Winner, Fund Manager of the Year
- Winner, Fund Manager of the Year – Australian Shares, Mid and Large Cap category
- Finalist, Fund Manager of the Year – Australian Equities, Small Cap category
- Finalist, Rising Star

PIMCO Australia

- Winner, Fund Manager of the Year – Fixed Interest (Diversified)
- Winner, Fund Manager of the Year – Credit

SG Hiscock & Co

- Finalist, Fund Manager of the Year – Property Securities

Money Magazine’s ‘Best of the Best’ 2006 Awards (December 2005)

- Gold award winner, Australian Fixed Interest: EQT PIMCO Australian Bond Fund
- Silver award finalist, Small Companies: EQT Small Companies Fund

Money Management Fund Manager of the Year Awards (May 2005)

- MIR Investment Management: Australian Equities
- MIR Investment Management: Rising Star
- PIMCO: International Fixed Interest

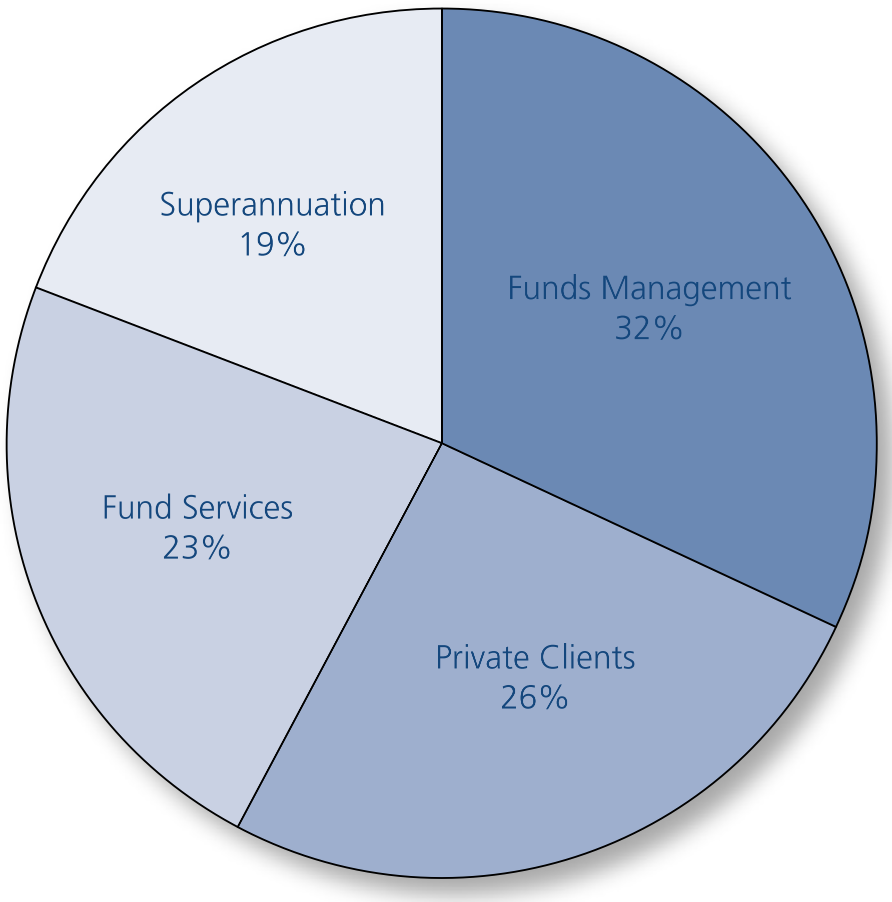
Standard & Poor’s 2005 Fund Awards (August 2005)

- Finalist, Global Equities: EQT Intrinsic Value International Sharemarkets Fund

Wai Han Tang, Internal Audit Manager

> "For the third year in succession each of our business units increased revenue on a year on year basis and also grew the level of funds being administered."
>
> **Peter Williams**

Our sources of 2006 operating revenue.

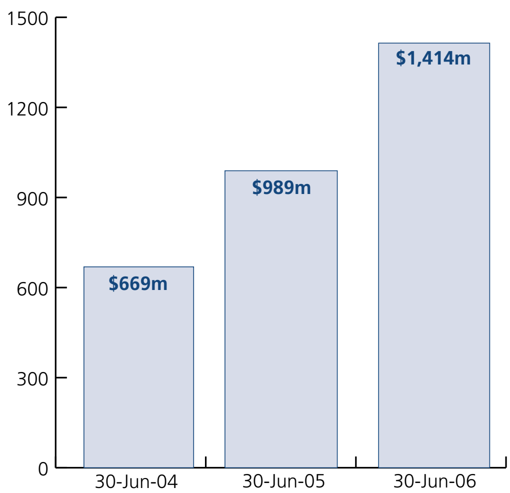


Business Unit Review (cont)
Funds Management

"It's been a good year for funds management – not just for us but for our unit holders as we've been evolving the business to reflect investors' requirements with quality outcomes." Harvey Kalman

Harvey Kalman

Funds under management ($m)



Head: Harvey Kalman

Team members: 13

Role: The operations and frontline fund manager and distributor for Equity Trustees-branded retail and wholesale funds managed by external specialist fund managers.

Funds under management at 30 June 2006:
$1.414b (previously $989m)

Contribution to operating revenue:
32% (previously 34%)

Year highlights: Very strong growth in net flows which increased funds under management by 43%. Also a year of great performance, as highlighted by a number of awards won. Expanding asset classes, particularly in international equities, property and fixed interest. Launching new funds with established partners (LaSalle Investment Management, MIR Investment Management, PIMCO, SG Hiscock). Launching funds with new Australian partners (Armytage private, Longreach Limited, TechInvest, Voyager) and with new overseas partners (Orbis Investment Management, Putnam, Cohen & Steers). Other highlights included the August 2005 launch of the EQT Balanced Fund, previously only accessible to charities.

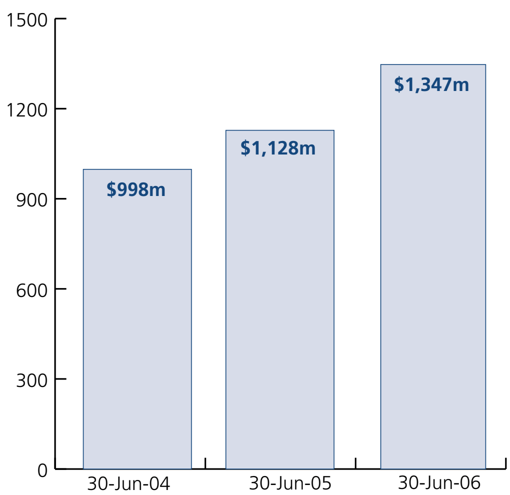
Year ahead: Our distribution strategy is beginning to gain traction – and we are hopeful of making further inroads in 2007 – particularly into the platform market. We have chosen our investment management partners very carefully and are confident that we will respond well to the challenges that the markets will no doubt throw at us in the coming year.

Private Client Services

"Funds under management grew by 19 per cent to $1.35b due to increasing the wealth of existing clients and attracting new clients to our services. We are very proud of this achievement." Shaun Manuell

Shaun Manuell

Assets under management ($m)



Head: Shaun Manuell

Team members: 29

Role: Providing personal asset management services including investment advice, portfolio administration, trustee, executorial and philanthropic services. Providing a one-stop service for private investors, including legal, property and taxation services.

Funds under management at 30 June 2006:
$1.347b (previously $1.128b)

Contribution to operating revenue:
26% (previously 31%)

Year highlights: Our overall assets under management continued impressive growth across all our services, led by our Portfolio Manager service. In revenue terms, Portfolio Manager grew by 28 per cent, with growth attributable to the investment advice we provide and the demand for this service. We continue to use the broad skills set required of a professional trustee to generate excellent results for our clients, one example being our role as co-trustee in the RM Ansett Trust. The trust sold the Ansett residence for $14.5m, a record for a residential property sold at auction in Victoria. We have reorganised our services into team based structures and given each team more accountability and responsibility for growing and improving their service. We've bedded down our new technology platform and redesigned our administrative processes to provide higher quality, more efficient service to our clients.

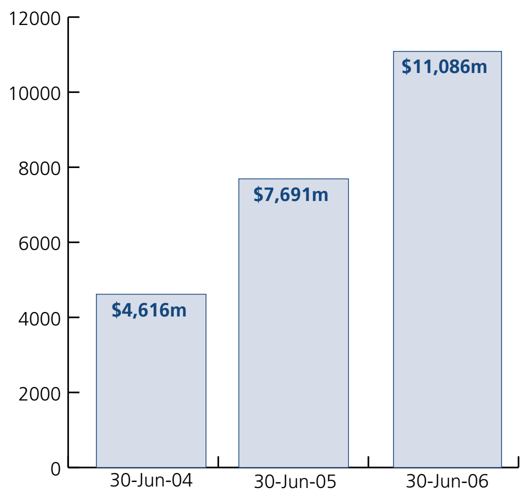
Year ahead: We will be looking to accelerate both revenue growth and marketing of our services. We will launch the EQT Flagship Fund to the general public. This Australian equity fund, open to internal clients for three years, has delivered above-benchmark returns since inception. We'll continue to invest in our people to ensure their skills match those required to solve our clients' problems and increase their wealth.

Business Unit Review (cont)
Fund Services

"We have continued to experience high levels of growth in the RE Services business underpinned by a number of new client partnerships, the establishment of new funds, and assisted by generally strong asset performance in Australia and overseas."
Philip Maddox

Philip Maddox

Responsible entity funds under management ($m)



Head: Philip Maddox

Team members: 5

Role: Overall responsibility for the Corporate Trust and Responsible Entity businesses – covering both managed funds and superannuation; Legal Counsel; joint Company Secretary.

Funds under Responsible Entity management as at 30 June 2006: $11.1b (previously $7.7b)

Contribution to operating revenue:
23% (previously 17%)

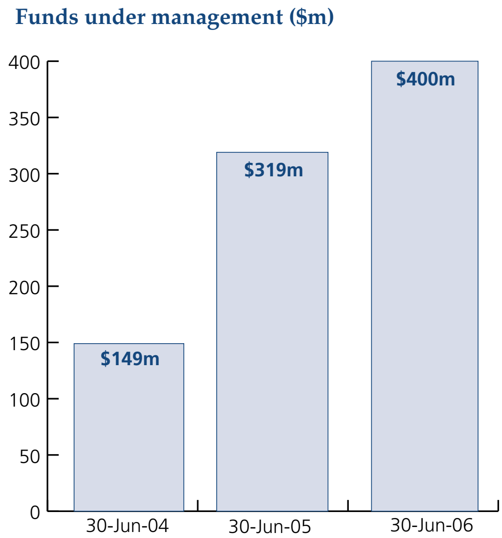
Highlights: Acting as Responsible Entity (RE) for more than 20 local and international fund managers, including managers such as SG Hiscock and PIMCO. As well as high growth in RE Business Services there was high growth in RE work for superannuation – all this within a risk-managed environment. Achieving our Registrable Superannuation Entity (RSE) Licence – which operates from 1 July 2006 – under APRA's new licensing regime positions us for potential growth in the provision of responsible entity services to selected corporate and employer-sponsored superannuation funds. Revamping our Compliance Plan monitoring structure and supporting processes enables scaleable growth in the RE Business Services area.

Year Ahead: With the introduction of APRA's new Superannuation trustee licensing requirements we will be seeking to take advantage of opportunities in this market caused by the higher barriers to entry. We are confident that our strong RE business model and the geographic and asset diversification should enable us to continue revenue growth even in challenging market environments.

Business Unit Review (cont)
Superannuation

"The business has had an outstanding year with record levels of funds under management and the largest contribution to group profit yet achieved." Adrian Young

Adrian Young



Head: Adrian Young, a Wealthpac executive since 2002, was appointed Wealthpac's managing director from 30 June 2006, succeeding Rob Dillon who became Wealthpac's non-executive Chairman.

Team members: 26

Role: A full service Sydney-based trustee, administration and investment business which manages employer superannuation funds through its Master Trust which, based on a 'fund of funds' model, primarily services small-to-medium sized enterprises.

Funds under management as at 30 June 2006:
$400m (previously $319m)

Contribution to operating revenue:
19% per cent (previously 18%).

Year highlights: Continued strong business and profit growth was achieved under Rob Dillon's leadership. Profitability reflected the first full year's revenue contribution from the Brisbane-based Templetons Master Plan – a sub-plan of the Wealthpac Superannuation Service which became a full service client from 1 January 2005. Initiatives taken include the introduction of a group based business contingency and disaster recovery plan. Wealthpac was granted its Registrable Superannuation Entity (RSE) licence by the regulator, APRA, in March 2006.

Year ahead: A move to new and larger North Sydney premises shared with Equity Trustees as part of group expansion initiatives. A stable investment climate in which the fundamentals remain strong and is likely to produce positive – if not the spectacular – returns seen in the last three years.

Kirrily Burgess, Charitable Trust Manager & Sarah Carter, Business Development Officer

"As a service industry, the quality of our people remains our key asset. I continue to be impressed by the dedication and drive that our people show to make our business better." **– Peter Williams**

Support Unit Review

Operations

"The year marked the beginning of a new era, now that we have succeeded in creating the very best operational structure on which we can build and grow." Janine Smith

Janine Smith

Head: Janine Smith

Team members: 25

Role: Fiduciary accounting, custody operations, management of private client real estate, unit registration for Equity Trustees managed funds, portfolio administration for Equity Trustees' funds and fund services' corporate clients.

Year highlights: Restructuring Operations in line with the single technology platform used by the Funds Management, Private Clients and Fund Services businesses. Assisting in converting private client data to the new technology platform. Running the old and new systems in parallel to ensure the integrity of the new system. Consolidating teams within the departments which make up Operations and delivering more efficient services to the company's business units. Successfully providing unit holders with internet access to their investment details and savings plan statements. The updated unit registry system has been automated, delivering functionality that was previously unavailable or completed manually.

Year ahead: The work carried out over the past year ensures that we can grow our business without a proportionate increase in operating costs. We now have a scaleable structure for future growth.

Support Unit Review (cont)
Finance and Corporate Services

"Our financial strength, evidenced by our very strong profit and improved balance sheet, was underwritten by strong new business, enhanced work practices, better technology, prudent capital investment and cost containment across the board." Terry Ryan

Terry Ryan

Head: Terry Ryan

Team members: 12

Role: Responsibility for financial, company secretarial, ASX and corporate and fund accounting matters; Chief Financial Officer; Company Secretary.

Year highlights: Establishing a very good foundation for continuing revenue, profit and dividend growth. Exceeding our internal full-year budgets as well as external analysts' expectations. Having excellent cash flows, led by our strong annuity business, across all our business units. Achieving a quantum improvement in our balance sheet, which operates comfortably within the regulatory capital requirements of our industry. We are delighted with the significant increase in shareholders' funds and the increased number of shareholders which have helped our stockmarket liquidity. Internally, the transition to IFRS was smooth, and there was further refinement of our business accounting systems.

Year ahead: To continue our high rate of profit growth requires both organic and "step up" growth. We are well positioned to look at appropriate acquisitions. In a growth environment, it is imperative that we remain disciplined about our costs and efficiencies and keep our focus on the bottom line.

Support Unit Review (cont)
Human Resources

"The year was about establishing the optimum environment for Equity Trustees to be an enlightened workplace with industry-leading practices that enable us to grow employee skill sets." Rob Jenkins

Rob Jenkins

Head: Rob Jenkins

Team members: 2

Role: Responsible for all aspects of employee personal and professional development as well as embedding key aspects of the corporate culture into policies and procedures.

Year highlights: Focusing on training, development and recruitment to ensure we are developing our people appropriately, including Sydney staff being integrated within Equity Trustees. Implementing our Progress and Development tool to record all individual capabilities, performance standards and ASIC, APRA and ITSA related regulatory training. Implementing an industry-leading online, competency-based, training facility. Progressing executive leadership through a personalised coaching and mentoring program, the '1888 Group'. Communicating our corporate values – Honesty, Ethics, Accountability, Respect – throughout the organisation. Significantly reducing costs by improving our direct recruitment processes to screen and validate potential employees and by accessing government funding for employees completing their Certificate III in Financial Services. Completing, and acting on, our workstation ergonomics audit.

Year ahead: Implementing the final phases of our new, industry-leading Continuing Professional Development (CPD) model to provide our staff with a best practice model for maintaining their skills and knowledge. Working through issues arising from the Federal Government's new WorkChoices industrial relations environment.

Support Unit Review (cont)
Information Technology

"It's been a year of consolidation with our new business platform providing a solid foundation from which to build for the future. It's freeing people from tedious manual administration to do some really innovative things and it positions the company to scale up the business without increasing existing resources."
Karen Symes

Karen Symes

Head: Karen Symes

Team members: 6

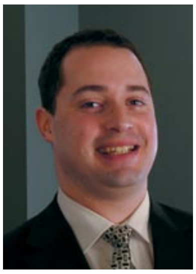
Role: Responsible for the company's computer-based systems and infrastructure

Year highlights: In one word, enablement.
We've enabled staff with updated and improved systems and processes including secure remote wireless access for those working away from their offices. We have also refreshed our standard desktop computers with the latest hardware and software. We've positioned ourselves for growth by establishing a 'hub spoke' infrastructure design – enabling us to bolt on extra functions and physical locations as required. One important step has been including business unit representatives on a systems steering committee to monitor and ensure continuing improvement in what we do – ranging from streamlining transaction processing to introducing "exception management" in which our systems alert us to take action when exceptions occur.

Year ahead: Continuing to invest in our new business platform to create more on-line access to our products and services including on-line client statements for our Portfolio Manager clients and our corporate partners. Further enhancing on-line services for unit holders in our funds, for example – using a password – unit holders won't only be able to see their holdings on-line and print them out, but will also be able to apply on-line for further investments. Internally we'll be introducing a group wide IP Telephony system. We will also utilise our Wide Area Network infrastructure – that connects our Sydney and Melbourne sites – to implement a dynamic reciprocal disaster recovery solution.

Distribution & Marketing

"Our major achievement has been building relationships with existing and potential clients and partners and marketing Equity Trustees' competitive edge, both internally and externally." Mark Godfrey



Mark Godfrey

Head: Mark Godfrey

Team members: 4

Role: Managing internal and external communications, strategic promotion and stakeholder relationships.

Year highlights: One key initiative was introducing a new in-house desktop publishing system to produce timely, economic and effective communications for our staff and external parties. The first edition of the quarterly newsletter, Equity Update, was sent to all shareholders in April 2006. We've been able to produce a number of the company's product and services brochures in-house, which has delivered major improvements. Internally, we have continued producing Inside Equity on a quarterly basis, as well as communications about key projects such as the new reciprocal disaster recovery project between our Melbourne and Sydney operations. We have also accelerated our face-to-face relationship building through a series of event sponsorships (see the Community Review, page 31) ranging from Financial Planning Association conferences through to strategic arts and sporting events. During the year the advertising agency, Simon Richards Group, became our communications partner, assisting in the production of external brochures and publications which promote our services to an ever widening audience.

Year ahead: Our challenge is to continue the progress made during the year in consolidating the efforts of everyone involved in distribution and marketing – including the new Business Development managers in Funds Management and Private Clients – to ensure that Equity Trustees is on the radar of all significant parties in the Australian financial services sector.

Allison Staggard, Business Systems Analyst; Bruce Macfarlane, Group Management Accountant
& Anne-Maree Martin, Executive Assistant

Community Review

"Equity Trustees is continually seeking appropriate opportunities to provide support to the broader community in which we operate." Philip Molyneux

In 2005-2006 Equity Trustees furthered its program of building relationships with clients, strategic partners and the broader community. It was a landmark year for bringing the company closer to actual and potential clients, intermediaries and partners through EQT-sponsored events.

These events helped the company to communicate its products and services – not only trustee and executorial services but also a range of financial and wealth management services available to any member of the public.

Corporate Sponsorships

Financial Planning Association conferences
Equity Trustees was the chief sponsor of the Financial Planning Association (FPA) national conference in Melbourne in April 2006 as well as four FPA annual state conferences. The state conferences were held in Melbourne in August 2005, in Hobart in October 2005, in Perth in March 2006 and in Brisbane in March 2006.

Sport-related Sponsorships

The Equity Trustees Pope's Eye Couta Boat Race.
This inaugural race, which attracted almost 40 boats, was held at the Sorrento Sailing Couta Boat Club (SSCBC) on January 14, 2006. Named after a man-made rock formation called the Pope's Eye in the entrance to Port Phillip Bay, the race included many EQT guests and clients. They sailed a race course which started at the SSCBC clubhouse, went around the Pope's Eye and back.

The Equity Trustees Counterstroke Golf Classic
Held over five days from February 20-25 at five Mornington Peninsula golf courses, the event raised funds for the National Stroke Foundation, a not for profit organisation which aims to save 110,000 Australians from death and disability over the next 10 years through research and education.

As many as 750 players competed, including former Prime Minister Malcolm Fraser and his wife, Tamie. Guests included representatives of investment companies such as Contango, and funds management partners including SG Hiscock & Company and Armytage private.

Community Review (cont)

Other Sponsorships

These included the Melbourne Cricket Club Golf Day at the Kingston Heath golf club in July, Wealthpac's Annual Golf Day in Sydney in October, the Financial Planning Association's Chapter Golf Day at the Peninsula Country Club in February and a tournament at the Balmoral Gardens Bowling Club in Melbourne's eastern suburbs in February.

Arts-Related Events

Orchestra Victoria

On July 7, 2005, Equity Trustees hosted 120 members of Melbourne's legal community at a musical evening at the Athenaeum Club. The guests were entertained by Orchestra Victoria's String Chamber Ensemble and soloist Dennis Olsen who performed Gilbert and Sullivan.

Port Phillip Performing Arts Centre

On September 15, 2005, Equity Trustees sponsored the opening of the Port Phillip Specialist School's new Performing Arts Centre. The centre – officially opened by Victoria's Minister for Education Services, Jacinta Allan, and the Deputy Premier John Thwaites – will enable disabled children from the specialist school to participate in music, drama and dance therapy.

Corporate Commitment

Equity Trustees donates 1% of its pre-tax operating profit to charitable causes through the EQT Foundation. This is an annual programme. The EQT Foundation was set up in June 2001 to provide a low cost, flexible structure through which Philanthropists can establish their own Personal Foundation through a sub trust of the Foundation.

Philanthropic Sponsorships

Equity Trustees Discretionary Charitable Trusts

In 2005-06 Equity Trustees directed $16m to Not-For-Profit organisations on behalf of both discretionary and non-discretionary charitable trusts under its care.

Equity Trustees Not-for-Profit CEO Awards (2005)

The company's flagship sponsorship was, for the fourth successive year, the Equity Trustees Not-For-Profit (NFP) CEO Awards.

Hosted at Melbourne Park in October 2005, the latest award ceremony was held in conjunction with Philanthropy Australia. 2005 Australian of the Year, Professor Fiona Wood, was guest speaker.

Equity Trustees' NFP CEO Awards extend the company's century-long work with charitable institutions by publicly recognising leaders who work tirelessly in the NFP sector to achieve service excellence, partnership success and to enhance recognition of their organisations.

Members of the judging panel who generously contributed their time to the 2005 judging process were Neil Waters, Managing Partner, Egon Zehnder International; Michael Robinson, former partner, Allens Arthur Robinson; Malcolm Bristow, Director, Leap Agency; Jan Cochrane-Harry, Director, Development, Melbourne Business School and Martine Letts, Deputy Director, Lowy Institute. In calendar 2006, Jan Cochrane-Harry handed her baton to Mary Wooldridge, a former Equity Trustees Not-For-Profit CEO award-winner, now Deputy Director of Foundation Boroondara.

The 2005 winners were:

Equity Trustees NFP CEO of the Year: Recognising overall performance – Bella Irlicht, CEO and Principal of the Port Phillip Specialist School, Melbourne, which caters for children with disabilities.

Equity Trustees Significant Innovation Award: Recognising a quantum leap in performance – Alexandra Gartmann, CEO, Birchip Cropping Group Inc., which advises farmers on the environment in north-west Victoria.

Equity Trustees First Year Achiever Award: Recognising contribution in the first 12 months as CEO – Dr Andrew Young, CEO, CanTeen, which supports young Australians living with cancer.

Equity Trustees Long Term Achiever Award: Recognising contribution over a sustained period of eight years or more – Rev. Dr Gordon Moyes, Superintendent, Wesley Mission, Sydney.

Equity Trustees Judges' Award: Joint winners: Michael Traill, CEO, Social Ventures Australia and Maud Clark, CEO and Artistic Director, Somebody's Daughter Theatre Inc.

The David Brownbill Society

In September 2005 Equity Trustees sponsored one of the regular The David Brownbill Society luncheons which support the National Stroke Foundation. Named after the Melbourne neurosurgeon David Brownbill who established the National Stroke Foundation with Sir John Holland in the 1980s, the society's lunches recognise supporters who have left a bequest to the foundation.

Staff Fundraising

Charitable fundraising by Equity Trustees staff during the year included supporting the Smith Family 2005 Christmas Appeal and many 'Support a Cause' casual dress days, including one for the April 25, 2006 ANZAC day appeal.

Mark Ivory, Client Relationship Manager

Corporate Governance Statement

The directors are responsible for the corporate governance practices of the company. This statement sets out the main corporate governance practices that were in operation throughout the financial year, except where otherwise indicated.

ASX Best Practice Recommendations

The Australian Stock Exchange (ASX) Listing Rules require listed companies to include in their annual report a statement disclosing the extent to which they have followed the best practice recommendations issued by the ASX Corporate Governance Council. Listed companies must identify the recommendations which have not been followed and provide reasons for the company's decision.

As detailed in this Corporate Governance Statement, the company considers its governance practices comply with all but one of the ASX Principles of Good Corporate Governance and Best Practice Recommendations. The recommendations suggest that the company should establish a nomination committee (recommendation 2.4), however the company believes that the full board itself, rather than a committee, can adequately perform this task.

Directors & Board

As at the date of the Directors' Report, the Board comprises six directors, five of whom are independent non-executive directors and one executive director. Details of the skills, experience, relevant expertise and terms of office of the directors are set out in the Directors' Report. The Board carries out its responsibilities according to the following mandate:

- At least two-thirds of the Board should be made up of independent non-executive directors;
- The chairman of the Board should be an independent non-executive director;
- The directors should possess a broad range of skills, qualifications and experience;
- The Board should meet on a monthly basis; and
- All available information in connection with items to be discussed at a meeting of the Board shall be provided to each director prior to that meeting.

The company recognises that independent directors are important in providing assurance to shareholders that the Board is properly fulfilling its responsibilities. The company considers all relevant circumstances in determining whether a director is independent, including the following:

- Company shares owned directly or indirectly by the director;
- Employment by the company (or associates) of the director (or a family member) either currently or in the past;
- Business relationships between the company (or associates) and the director, a family member or business entity associated with them or with service providers in whom the director has an interest;
- Any material contractual relationship with the company or its associates other than as a director; and
- Any other interest or relationship which could interfere with the director's ability to act in the best interests of the company.

A table of discretions has been adopted by the Board which discloses the functions that are reserved to the Board and those that are delegated to particular management of the company.

The primary responsibilities of the Board include:

- The approval of the annual and half-year financial reports;
- The establishment of the long-term goals of the company and strategic plans to achieve those goals;
- The review and adoption of annual budgets for the financial performance of the company and the monitoring of those results on a monthly basis;
- Ensuring that the company has implemented adequate systems of internal controls together with appropriate monitoring of compliance activities; and
- Appointing, evaluating, supporting and directing the managing director.

Independent Professional Advice

With the prior approval of the chairman, each director has the right to seek reasonable independent legal and other professional advice at the company's expense concerning any aspect of the company's operations or undertakings in order to fulfil their duties and responsibilities as directors.

Performance Evaluation, Nomination and Remuneration

The Board regularly reviews its overall performance, as well as the performance of its committees, individual independent directors and the managing director.

The chairman is responsible for the monitoring of, and providing feedback to, individual directors. This process involves a peer review of each director by fellow directors and periodic external review.

Each executive (including the managing director) has business performance objectives which are linked to company objectives. Each executive (other than the managing director), is assessed against these objectives by the managing director. The assessment of the managing director is conducted by the chairman after consultation with the Board.

The Board undertakes the following functions.

- The review of performance and composition of the Board on an annual basis.
  This ensures that there is an appropriate mix of skills and experience. In relation to the possible appointment of new directors, focus is placed on the particular skills and experience which might be most appropriate to the company's objectives. Any appointee must meet appropriate ethical and reputation standards. The Board has determined, following due consideration of ASX best practice recommendation 2.4, that given its current size and experience, these tasks are best performed by the full Board itself rather than by a nomination committee.
- The review and setting of remuneration of all directors (including the managing director), and the review and approval of remuneration of executives on an annual basis.
  Executive remuneration packages include both fixed and incentive arrangements. The object of the company's executive remuneration policy is to reflect both short-term and long-term performance objectives and to align executive rewards with shareholder value. There is currently a short-term share-based plan for employees, known as the Employee Share Acquisition Plan (ESAP). This plan is activated by the Board after considering the financial performance of the group for the preceding year. If activated, employees receive an annual allocation of no more than $1,000 worth of shares in the company at no cost. Long-term executive remuneration is based on a share option plan in accordance with the Executive Performance Share Plan 1999 (the Plan). This plan was approved at the 1999 Annual General Meeting of the company. Executive share awards are approved by the Board via the Remuneration Committee. Non-executive directors' fees are determined by the Board within limits approved by shareholders. At the general meeting of the company held 28 October 2005 shareholders approved an aggregate limit of fees of $450,000.

Following due consideration of ASX best practice recommendation 9.2, the Board has established a Remuneration Committee that reviews and sets remuneration of all directors (including the managing director) and reviews and approves remuneration of executives on an annual basis.

In determining remuneration, the Board has regard to prevailing market levels, including remuneration surveys to attract and retain directors and executives of high calibre to facilitate the efficient and effective management of the company's operations.

Particulars concerning directors' and executives' remuneration are set in the Directors' Report.

Financial Reporting

To support the company's 2006 financial reports, the managing director and chief financial officer have confirmed in writing to the Board that the company's financial reports present a true and fair view, in all material respects, of the company's financial condition and that operational results are in accordance with relevant accounting standards. In addition they confirm to the Board in writing that:

- the statements are founded on a sound system of risk management and internal compliance and control which implements the policies adopted by the Board; and
- the company's risk management and internal compliance and control system is operating efficiently and effectively in all material respects.

Audit & Compliance Committee

The Board operates an Audit and Compliance Committee which, consistent with the ASX best practice recommendations, consists of three directors, each of whom is an independent non-executive director. The chairman of the Audit and Compliance Committee is independent and not chairman of the Board. The current members of the Audit and Compliance Committee are:

- Mr D F Groves, chairman (Appointed to Committee 1 January 2002, appointed chairman 30 January 2003)
- Mr J R McConnell (Appointed 30 January 2003)
- Mr R A Illingworth (Appointed 24 April 2003; resigned 31 August 2006)
- Mr P G Molyneux (Appointed 6 September 2006)

Details of the qualifications of members and the number of meetings of the Audit and Compliance Committee attended are set out in the Directors' Report.

The Audit and Compliance Committee operates under a formal charter which sets out matters including its objectives, duties and responsibilities and membership requirements. This Committee provides a forum for the effective communication between the Board and external auditors. The Audit and Compliance Committee reviews matters including:

- The annual and half-year financial statements prior to their approval by the Board;
- The effectiveness of the management information systems and systems of internal control;
- The appointment of external auditors;
- The efficiency and effectiveness of the internal and external audit functions, including reviewing the respective audit plans; and
- Compliance by the company with compliance plans developed for registered managed investment schemes for which the company acts as responsible entity.

The Audit and Compliance Committee generally invites the managing director, compliance manager, chief financial officer and other responsible officers, and the external and internal auditors to attend its meetings. The Audit and Compliance Committee also meets with and receives regular reports from the external and internal auditors and compliance manager concerning any matters that arise in connection with the performance of their respective roles, including the adequacy of internal controls.

External Auditors

The Audit and Compliance Committee reviews the adequacy of the external audit arrangements including the scope and quality of the audit. Where appropriate the Audit and Compliance Committee makes a recommendation to the Board that tenders be obtained from recognised and well-regarded accounting and auditing firms to conduct future audits.

Audit Independence Policy

To reflect recent legislative developments, report recommendations and accounting and audit practices, the Board has implemented an audit independence policy regarding the use of external auditors. The company will not use external auditors for:

- Book-keeping services;
- Complete outsourcing of the internal audit function;
- Asset or liability valuation services where material to the financial statements;
- Any service which requires the auditors to act as an officer of the company and/or be in a decision making role;
- Litigation services where the auditor would be required to act as an advocate of the company or where the amounts involved are material to the financial statements; and
- Any service prohibited by the Corporations Act 2001.

The Audit and Compliance Committee approves the provision of any non-audit services to the company or its funds where fees for the services exceed $50,000.

Risk Management

The Board is responsible for the company's system of internal controls. It constantly monitors the operational and financial aspects of the company's activities and, through the Audit and Compliance Committee, considers the recommendations and advice of external and internal auditors and other external advisers on the operational and financial risks that face the company.

The Board ensures that recommendations made by the external and internal auditors and other external advisers are investigated and, where necessary, immediate action is taken to ensure that the company has an appropriate internal control environment in place to manage the key risks identified.

In addition, the Board investigates ways of enhancing existing risk management strategies, including appropriate segregation of duties, the employment and training of suitably qualified and experienced personnel and, in conjunction with the recommendations of the Audit and Compliance Committee, the scope and program of the internal audit function.

Management Committees

As part of Equity Trustees Limited's commitment to continually enhancing its risk management processes, a range of Management Committees have been established. These include the following:

Investment Management Committee

The primary functions of this Committee include overseeing the asset management activities and developing the company's investment style and process, developing appropriate asset allocation frameworks and assessing and reviewing external investment markets and investment managers. This Committee also monitors the Equity Trustees company portfolio.

Asset Review Committee

The primary functions of this Committee include monitoring:

- the performance and portfolios of the various trusts and estates administered by the company when it acts as agent, executor or trustee in light of the company's "prudent person" responsibilities under the Trustee Act; and
- the superannuation portfolios for which the company acts as trustee in light of the investment strategy responsibilities under the Superannuation Industry (Supervision) Act.

Due Diligence Committee

The primary functions of this Committee include monitoring due diligence across the company, reviewing disclosure documents, considering proposed changes to compliance plans, constitutions and trust deeds for registered managed investment schemes and registrable superannuation entities (RSE's) for which the company acts as responsible entity or trustee and reviewing new business proposals for accepting appointment as trustee or responsible entity and making appropriate recommendations to the Board.

Funds Review Committee

The primary functions of this Committee include monitoring of internally managed funds as well as the allocation of money between nominated company funds within approved parameters. The Committee also considers and approves new mortgages and develops proposals for new investment products.

Trust Review Committee

The primary function of this Committee is to monitor the decision making process which requires the exercise of discretion or application of power by the company, where it acts in its capacity as an agent, executor or trustee. The Committee seeks to formalise the decision making process and individual levels of authority within an appropriately constituted and accountable committee.

Communication To Shareholders and the Market

The Board is committed to effective communication with its investors and believes that shareholders should be fully informed in a timely manner of all major business events that might influence the company. Shareholders have the right to attend the company's annual general meeting and are encouraged to participate effectively at these meetings. The company's external auditor attends the annual general meeting and is available to answer shareholder questions about the conduct of the audit and the preparation and content of the auditor's report.

The company has in place effective external disclosure procedures including a market disclosure policy which seeks to ensure that:

- there is full and timely disclosure of the company's activities to shareholders and the market in accordance with the company's legal and regulatory obligations; and
- all stakeholders (including shareholders, the market and other interested parties) have an equal opportunity to receive and obtain externally available information issued by the company.

The Board and the executive group of the company are fully aware of the obligation to comply with the ASX Listing Rules.

Dealing In Company's Shares

Directors are required by the company's constitution to hold a minimum of 300 shares. Their current shareholdings are shown in the Directors' Report.

Directors, employees and contractors (and their immediate family members and any person or entity over which they have a degree of control or influence) are prohibited from trading in the company's shares unless the trade occurs within 30 days from two business days after the date of:

- the release of the company's yearly and half-yearly results to the ASX; or
- the company's annual general meeting.

However, directors, employees and contractors (and their immediate family members and any person or entity over which they have a degree of control or influence) are prohibited from trading in the company's shares at any time if they are aware of any price sensitive information that has not been made public. All dealings in shares of the company by directors are promptly notified to the ASX.

Code Of Conduct

Equity Trustees Limited is committed to maintaining high standards of integrity and conducting its business in accordance with high standards of ethical behaviour. As part of the Board's commitment to the highest standards of conduct and integrity, it has adopted the Code of Practice for Statutory Trustee Organisations (as it applies to directors, employees and contractors) issued by the Trustee Corporations Association in March 2001.

The Objectives of the Code of Practice in its application to the company include:

- defining high professional and ethical standards to be met;
- promoting disclosure of information relevant and useful to customers so as to allow them to make an informed choice; and
- promoting the delivery of trustworthy, high quality and efficient trustee and investment services.

The Code of Practice covers such matters as:

- Acting with honesty and integrity, and in the best interests of customers;
- Operating the business in a professional manner acting at all times with the due care, skill and diligence required of a statutory trustee organisation;
- Observing sound business practices and ensuring, amongst other things, that the company has regard to relevant industry standards/policies and has adequate and properly documented plans, controls and maintenance mechanisms which are implemented at all levels of business;
- Respecting and preserving the privacy and confidentiality of customers;
- Providing clearly expressed terms and conditions to a customer;
- Making full disclosure of any fee charged or commission to be received by the company. Statements detailing account transactions are sent to clients at least every 12 months, or at any shorter intervals required by legislation; and
- Having an internal dispute resolution process which provides for a fair and timely method of handling disputes, utilising appropriate external dispute resolution processes such as those prescribed under legislation (where relevant) and utilising external impartial mediation when complaints may be otherwise unresolved.

David Bruty, Associate Investment Analyst & Don Hogarth, Investment Accountant

Board of Directors

The qualifications and experience of the Board of Directors of Equity Trustees Limited before and during the year ended 30 June 2006.

Philip Molyneux, Chairman

B.Econ, FCA

Appointed Chairman 1 January 2003
Non-Executive Director since 1992
Member of Equity Trustees' Remuneration & HR Committee

Philip is involved in non-executive roles in both the not-for-profit and corporate sectors. Since 1998 he has chaired the listed biotech research and development company, Anadis Limited, and is a director of the listed company, Pro Medicus Limited, which specialises in software for the radiology sector. Philip's other directorships include Australian National Academy of Music and the Centre for Eye Research Australia Limited. He is a trustee of the Eye Research Foundation, the Ansell Ophthalmology Foundation and The Monash University Accident Research Foundation.

Peter Williams, Managing Director

Dip.AII, MAICD, FAIM

Executive Director since March 2003

Peter was appointed Equity Trustees' managing director in February 2003 with significant experience in the financial services industry. He has broad experience in investments, insurance and superannuation, having worked in Australia and internationally with the listed insurance company AXA (previously National Mutual Ltd). His roles included general manager and chief executive officer of AXA Trustees Ltd.

In 1988, Peter was appointed general manager, National Mutual Asia Ltd, working out of Hong Kong. On return to Australia in 1993, Peter became national marketing manager at National Mutual Funds Management and in 2000 he was appointed general manager, Superannuation & Portfolio Services at Perpetual Trustees Australia.

Before 1988, Peter worked in various roles including National Mutual's corporate business manager (Western Australia, South Australia, Northern Territory), superannuation sales consultant and client manager.

Other directorships have included NM Superannuation Pty Ltd, including 2 years as its chairman, 2 years as the national president of the Trustee Corporations Association of Australia and is currently that organisation's national vice president. Peter was a director and vice-chairman of Austcham (the Australian Chamber of Commerce) in Hong Kong and has been both vice president and executive director of Victorian Baseball Association Inc. In February 2005, Peter was appointed to the board of the Australian Baseball Federation.

David Groves

B.Com, M.Com, CA, FAICD

Non-Executive Director since November 2000
Appointed Chairman of Equity Trustees' Audit & Compliance Committee in January 2003.

A director of GrainCorp Limited, Masling Industries Pty Ltd and Kambala, an independent school for girls. He is also an executive director of a number of private companies involved in agriculture, viticulture and investment. Formerly a director of Mason Stewart Publishing, non-executive director of Camelot Resources NL and an executive with Macquarie Bank Limited and its antecedent, Hill Samuel Australia.

Board of Directors (cont)

John McConnell

B.Com, FAICD, FAIM, F Fin

Non-Executive Director since January 2002
Member of Equity Trustees' Audit & Compliance Committee since January 2003

John has had more than 35 years' experience in banking and finance with the ANZ Banking Group in Australia, New Zealand and the United Kingdom, and has held various board positions within that Group. Roles at ANZ included managing director of Corporate Banking and Retail Banking, and deputy managing director of Esanda Finance Corporation Ltd.

John is chairman of HarvestRoad Ltd, director of Carey Baptist Grammar School Ltd, ASG Group Ltd and Housewares International Ltd and chairs Housewares' Remuneration Committee. He was a founding director of Family Business Australia Ltd and the Melbourne Community Foundation, and is a past member of the Epworth Medical Foundation.

JA (Tony) Killen

Dip.AII, FAICD, FAIM

Non-Executive Director since September 2002
Chairman of Equity Trustees' Remuneration & HR Committee

Previously the group managing director and chief executive officer of the listed insurance and funds management company, AXA Asia Pacific Holdings Ltd, Tony had a 36-year career with the National Mutual/AXA group.

An alumnus of the Sloan School of Management, MIT, Boston, Massachusetts, he is chairman of Australia's largest not for profit health services provider, Sisters of Charity Health Service Ltd, is a non-executive director of Catholic Church Insurances Ltd, and a non-executive director of listed companies, IRESS Market Technology Ltd and Templeton Global Growth Fund Ltd.

Tony is a former chairman of St Vincent's Hospital Melbourne Ltd, a former director of St Vincent's Institute of Medical Research and a past president of the WA Insurance Institute.

Barry Jackson

B.Com (Hons), MAICD

Non-Executive Director since September 2002
Member of Equity Trustees' Remuneration & HR Committee

Barry is a former managing director of Pacifica Group Limited and chief executive of BTR Nylex's Building Products Group, with more than 30 years' experience in manufacturing and industrial marketing. He is a director of Alesco Corporation Limited, CSR Limited, PaperlinX Limited and St Vincent's Institute of Medical Research.

Ross Illingworth

B.Bus (HR), GAICD, CFP

Non-Executive Director
Appointed March 2003 – Resigned 31 August 2006
Member of Equity Trustees' Audit & Compliance Committee April 2003 – 31 August 2006

Ross is Senior Vice President – Investments, Citigroup Wealth Advisors. Having worked in the stockbroking industry since 1986, he has had extensive experience in institutional dealing, charitable foundations, investment companies, capital markets and high net worth private clients. He is a member of the Institute of Company Directors and a graduate of the Company Directors Course and International Directors Course. He is a member and Certified Financial Planner with the Financial Planning Association.

Ross is also a director of the Sir Robert Menzies Memorial Foundation Ltd and a member of its Investment Committee. He is a member of the Greater Melbourne Foundation, Victoria's Lord Mayor's Charitable Fund (Investment Committee) and The Howard Florey Institute (Corporate and Major Gifts Committee).

Directors' Report

Directors' Report for the financial year ended 30 June 2006

The directors of Equity Trustees Limited submit herewith the annual financial report for the financial year ended 30 June 2006. In order to comply with the provisions of the Corporations Act 2001, the directors report as follows:

The names of directors of the company during or since the end of the financial year are:

Philip G Molyneux, Chairman
Peter J Williams, Managing Director
David F Groves
John R McConnell
Barry J Jackson
J A (Tony) Killen
Ross A Illingworth (resigned 31 August 2006)

Details of directorships and experience are summarised in the Board of Directors' Profiles.

Company Secretaries

Mr Terry Ryan, Chartered Accountant, held the office of Company Secretary during and since the end of the financial year. Mr Ryan joined Equity Trustees Limited in 2003 and previously held senior finance, administration and secretarial roles in the financial services industry and is a member of the Institute of Chartered Accountants and the Financial Services Institute of Australasia.

Mr Philip Maddox, Lawyer, held the office of joint Company Secretary since November 2005. Mr Maddox joined Equity Trustees Limited in late 2001 and previously held senior managerial and operational roles in the trustee industry. He is a member of the Law Institute of Victoria and currently holds a Legal Corporate Practising certificate.

Directors' Report (cont)

Principal Activities

The principal activities of the Equity Trustees Group during the course of the financial year were the provision of services as trustee, executor, administrator, attorney and agent, tax agent, custodian, fiduciary and agency services, funds management and superannuation.

Review of Operations

For a review of operations refer to the Managing Director's report.

Changes in the State of Affairs

During the financial year, there was no significant change in the state of affairs of the consolidated entity other than that referred to in the financial statements or notes thereto.

Subsequent Events

There has not been any matter or circumstance, other than that referred to in the financial statements or notes thereto, that has arisen since the end of the financial year, that has significantly affected, or may significantly affect, the operations of the consolidated entity, the results of those operations, or the state of affairs of the consolidated entity in future financial years.

Future Developments

Disclosure of information regarding likely developments in the operations of the consolidated entity in future financial years and the expected results of those operations is likely to result in unreasonable prejudice to the consolidated entity. Accordingly, this information has not been disclosed in this report.

Dividends

In respect of the financial year ended 30 June 2005:

i. An interim dividend of 15 cents per share, franked to 100% at 30% corporate income tax rate, was paid to holders of fully paid ordinary shares on 12 April 2005.

ii. A final dividend of 25 cents per share, franked to 100% at 30% corporate income tax rate, was paid to holders of fully paid ordinary shares on 10 October 2005.

In respect of the financial year ended 30 June 2006:

i. An interim dividend of 20 cents per share, franked to 100% at 30% corporate income tax rate, was paid to holders of fully paid ordinary shares on 13 April 2006.

ii. Subsequent to 30 June 2006, the directors declared a final dividend of 30 cents per share, franked to 100% at 30% corporate income tax rate, payable to holders of fully paid ordinary shares on 10 October 2006.

Share Awards

During the financial year Long Term Incentive Awards (Awards) totalling in aggregate rights to 42,362 shares were granted to the following director and executives of the company:

Director and Executives	Number of shares subject to Award
P J Williams	15,190
T Ryan	7,051
H H Kalman	7,051
S R Manuell	6,751
P B Maddox	6,319
	42,362

The Awards form part of the long term incentive component of executive remuneration as outlined later in this report and in note 5 to the financial statements. An Award, if earned, carries with it a right to acquire at no cost a stipulated number of fully paid ordinary shares issued by Equity Trustees Limited.

Indemnification of Directors, Officers and Auditors

During the financial year, the company paid a premium in respect of a contract insuring the directors, company secretaries and officers of the company and its controlled entities against a liability incurred as such a director, secretary or officer to the extent permitted by the Corporations Act 2001. The contract of insurance prohibits disclosure of the nature of the liability and the amount of the premium.

The company has not otherwise, during or since the financial year, indemnified or agreed to indemnify a director, a company secretary, an officer or auditor of the company or any related body corporate against a liability incurred as such a director, company secretary, officer or auditor.

Directors' Meetings

The following table sets out the number of directors' meetings (including meetings of committees of directors) held during the financial year and the number of meetings attended by each director (while they were a director or committee member). During the financial year, 14 board meetings, 11 committee of the board, 4 remuneration and 18 Audit & Compliance Committee (A&CC) meetings were held.

Directors in Attendance	Board Meetings		Committee of the Board[1]		Remuneration Committee		Audit & Compliance Committee	
	Eligible to Attend[2]	Attended	Eligible to Attend[2]	Attended	Eligible to Attend[2]	Attended	Eligible to Attend[2]	Attended
P G Molyneux	14	14	11	11	4	4	3	3
P J Williams	14	13	11	11	–	–	–	–
D F Groves	14	13	7	7	–	–	18	18
J R McConnell	14	12	7	7	–	–	18	13
B J Jackson	14	13	6	6	4	4	1	1
J A Killen	14	14	6	6	4	4	–	–
R A Illingworth	14	14	8	8	–	–	18	17

[1] Committee of the board meetings are constituted by at least any two directors acting pursuant to the authority of the full board.
[2] Meetings held that the director was eligible to attend whilst holding office.

Directors' Shareholding

The following table sets out each director's relevant interest in shares. All shares are fully paid ordinary shares. The movement of shareholdings during the year ended 30 June 2006 are summarised in note 31 to the financial statements.

Director	Number of shares held as at 30 June 2006
D F Groves	177,578
R A Illingworth	42,029
J R McConnell	18,274
B J Jackson	10,500
P G Molyneux	6,131
P J Williams	5,094
J A Killen	3,658

Remuneration Report

Key management personnel of the company during the year comprised the directors and executives listed in the following tables.

Remuneration packages contain the following key elements:

i. Salary / fees – includes directors' fees and cash salaries;
ii. Performance incentives (executives only) – includes short term incentive payments;
iii. Non-monetary – includes parking costs and fringe benefits tax;
iv. Termination benefits – includes annual leave on termination;
v. Post employment – includes superannuation guarantee charge (SGC) and the directors' retiring allowance (DRA); and
vi. Share-based payments – includes Awards granted under the Executive Performance Share Plan 1999 and shares issued under the Employee Share Acquisition Plan. The Awards to acquire shares forms part of executive long-term performance incentives.

Remuneration of all executives is reviewed on an annual basis by the Remuneration Committee and determined with regard to current market rates and executive performance.

Short-term performance incentives are calculated by reference to agreed key performance indicators for the year ended 30 June 2006. These include earnings per share, group profitability, revenue growth, expense control, and other performance criteria specific to the respective executive's responsibilities. These performance criteria were chosen so as to provide a suitable incentive for improved executive performance for the benefit of shareholders and other stakeholders. The measurement of criteria is assessed by adopting a balanced scorecard approach, with each criteria given a threshold representing the minimum incentive and another stretch threshold representing an excellent achievement, for which the maximum incentive is paid. In all cases the Remuneration Committee confirms the appropriateness of the criteria, appropriate thresholds and, at the conclusion of the measurement period, confirms the level of achievement. Short-term executive performance incentives relating to the year ended 30 June 2006 were accrued at year end and are payable in September 2006. The grant date for the 2006 short-term performance incentive arrangements was 3 August 2005 and there were no alterations to terms or conditions since that date.

Long-term performance incentives are offered to executives via the grant of Awards which confer the right to acquire shares at no cost subject to meeting prescribed performance hurdles. The details of these incentives are outlined in note 5 to the financial statements. The value of long-term performance incentives is spread over the measurement period, with the value for the year to 30 June 2006 accrued at year end.

The following table discloses the directors of Equity Trustees Limited during the year, together with remuneration entitlements:

2006

Directors	Primary			Termination Benefits	Post-Employment		Share-based Payments	Total
Non-executive Directors	Fee / Salary $	Perf. Incentive $	Non–Monetary $	$	Super–annuation $	DRA* $	Share Awards $	$
P G Molyneux, Chairman	64,500	–	–	–	5,805	12,668	–	82,973
D F Groves	47,000	–	–	–	4,230	18,483	–	69,713
J R McConnell	45,750	–	–	–	4,118	21,617	–	71,485
B J Jackson	42,000	–	–	–	3,780	13,016	–	58,796
J A (Tony) Killen	43,000	–	–	–	3,870	11,248	–	58,118
R A Illingworth	45,750	–	–	–	4,118	5,896	–	55,764
Executive Director								
P J Williams, Managing Director	280,771	68,800	7,058	–	12,139	–	52,177	420,945
Total Directors' Remuneration	568,771	68,800	7,058	–	38,059	82,928	52,177	817,794

2005

Directors	Fee / Salary $	Perf. Incentive $	Non–Monetary $	Termination Benefits $	Super–annuation $	DRA* $	Share Awards $	Total $
Non-executive Directors								
P G Molyneux, Chairman	55,000	–	–	–	4,950	17,875	–	77,825
D F Groves	39,000	–	–	–	3,510	45,107	–	87,617
J R McConnell	39,000	–	–	–	3,510	27,430	–	69,940
B J Jackson	35,000	–	–	–	3,150	11,667	–	49,817
J A (Tony) Killen	35,000	–	–	–	3,150	11,667	–	49,817
R A Illingworth	39,000	–	–	–	3,510	13,000	–	55,510
Executive Director								
P J Williams, Managing Director	236,704	69,650	6,671	–	11,585	–	–	324,610
Total Directors' Remuneration	478,704	69,650	6,671	–	33,365	126,746	–	715,136

*DRA represents an accrual for directors retiring allowance and is calculated in accordance with the accounting policy. Refer to note 1(c) to the financial statements.

The following table discloses the highest remunerated executives of Equity Trustees Limited Group during the year, together with remuneration entitlements:

2006

Executives	Primary			Termination Benefits	Post-Employment	Share-based payments		Total
Name	Fee / Salary $	Perf. incentive $	Non–monetary $	$	Super–annuation $	Share Awards $	Employee Share Acquisition Plan $	$
H H Kalman, GM & CIO – Funds Management	189,849	40,188	6,863	–	12,139	24,233	993	274,265
T Ryan, CFO & Company Secretary	189,517	39,466	7,195	–	12,139	24,233	993	273,543
S R Manuell, GM – Private Clients	187,861	28,930	–	–	12,139	23,190	993	253,113
R P Dillon, Managing Director – Wealthpac	176,000	44,000	–	27,077	–	–	–	247,077
P M Maddox, GM – Corporate Trusts & RE Services	167,861	32,366	7,167	–	12,139	21,683	993	242,209
Total Executives' Remuneration	911,088	184,950	21,225	27,077	48,556	93,339	3,972	1,290,207

2005

Executives	Primary			Post–Employment	Share-based payments	Total
Name	Salary $	Perf. incentive $	Non–monetary $	Super–annuation $	Employee Share Acquisition Plan $	$
T Ryan, CFO & Company Secretary	180,984	39,191	6,829	11,585	997	239,586
H H Kalman, GM & CIO – Funds Management	181,133	36,879	6,711	11,585	997	237,305
R P Dillon, Managing Director – Wealthpac	176,000	44,000	–	–	–	220,000
P M Maddox, GM – Corporate Trusts & RE Services	161,753	30,096	6,711	11,585	997	211,142
S R Manuell, GM – Private Clients	146,289	28,914	567	11,585	997	188,352
G W Smith, GM – Operations	139,036	29,755	6,810	12,523	997	189,121
Total Executives' Remuneration	985,195	208,835	27,628	58,863	4,985	1,285,506

Non-Audit Services

The directors are satisfied that the provision of non-audit services, during the year, by the auditor (or by another person or firm on the auditor's behalf) is compatible with the general standard of independence for auditors imposed by the Corporations Act 2001.

Details of amounts paid or payable to the auditor for non-audit services provided during the year by the auditor are outlined in note 6 to the financial statements.

Auditors' Independence Declaration

The auditors' independence declaration is included on page 54 of the financial report.

Statutory Trustee

Equity Trustees Limited is authorised by the law of the state of Victoria to take in its name a Grant of Probate of the will of a deceased person. Assets and liabilities of trusts, estates and agencies for which the company acts as trustee, executor or agent, are not included in the company's financial statements.

Reserve Fund

The provisions of the Trustee Companies Act 1984 which require the creation of a reserve fund to be set aside by statutory trustee companies have been complied with and are reflected in the company's financial statements.

Signed in accordance with a resolution of the directors made pursuant to Section 298(2) of the Corporations Act 2001.

On behalf of the directors

Mr Peter J Williams
Managing Director

Dated 6 September 2006

Declaration of Auditors' Independence

Deloitte.

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The Board of Directors
Equity Trustees Limited
575 Bourke Street
MELBOURNE VIC 3000

6 September 2006

Dear Board Members

EQUITY TRUSTEES LIMITED

In accordance with section 307C of the Corporations Act 2001, I am pleased to provide the following declaration of independence to the directors of Equity Trustees Limited.

As lead audit partner for the audit of the financial statements of Equity Trustees Limited for the year ended 30 June 2006, I declare that to the best of my knowledge and belief, there have been no contraventions of:

(i) the auditor independence requirements of the Corporations Act 2001 in relation to the audit, other than a contravention covered by ASIC Class Order [05/910]; or

(ii) any applicable code of professional conduct in relation to the audit.

The independence of Deloitte in respect to the audit of the financial statements of Equity Trustees Limited for the year ended 30 June 2006 has not been impaired by this inadvertent contravention of the auditor independence requirements of the Corporations Act 2001.

Yours sincerely

DELOITTE TOUCHE TOHMATSU

Peter A Caldwell
Partner
Chartered Accountants

Member of
Deloitte Touche Tohmatsu

Directors' Declaration

Directors' Declaration for the financial year ended 30 June 2006

The directors declare that:

a) in the directors' opinion, there are reasonable grounds to believe that the company will be able to pay its debts as and when they become due and payable;

b) in the directors' opinion, the attached financial statements and notes thereto are in accordance with the Corporations Act 2001, including compliance with accounting standards and giving a true and fair view of the financial position and performance of the consolidated entity; and

c) the directors have received from the managing director and the chief financial officer the declarations required by section 295A of the Corporations Act 2001.

Signed in accordance with a resolution of the directors made pursuant to section 295(5) of the Corporations Act 2001.

On behalf of the directors

Mr Peter J Williams
Managing Director

Melbourne, 6 September 2006.

Income Statement for the financial year ended 30 June 2006

	Note	Consolidated		Company	
		2006	2005	2006	2005
		$	$	$	$
Revenue	2	23,499,589	18,717,529	19,090,379	15,420,106
Investment revenue		1,842,556	1,867,347	1,803,614	1,805,582
Total revenue		25,342,145	20,584,876	20,893,993	17,225,688
Employee benefits expenses	2	11,486,401	8,975,474	9,734,448	7,580,070
Other employment and consulting expenses		964,314	1,271,208	602,931	769,057
Finance costs	2	(53,097)	109,931	(53,097)	109,931
Audit and tax advice expenses	6	236,594	258,360	193,180	229,810
Depreciation and amortisation expenses	2	310,414	240,869	267,523	226,631
Insurance expenses		702,409	711,307	615,222	625,280
Legal expenses		528,060	829,480	509,499	826,611
Marketing expenses		892,118	574,995	873,339	561,952
Information technology expenses		1,025,934	988,692	967,806	882,272
Occupancy expenses		1,024,432	950,482	867,702	807,351
Other expenses		1,013,656	696,723	904,814	608,748
Total expenses		18,131,235	15,607,521	15,483,367	13,227,713
Profit before income tax expense		7,210,910	4,977,355	5,410,626	3,997,975
Income tax expense	3	2,055,364	1,574,404	1,513,179	1,279,492
Profit from continuing operations		5,155,546	3,402,951	3,897,447	2,718,483
Profit for the period		5,155,546	3,402,951	3,897,447	2,718,483
Profit attributable to members of the parent entity		5,155,546	3,402,951	3,897,447	2,718,483
Earnings per share					
–Basic (cents per share)	24	69.94	52.98		
–Diluted (cents per share)	24	69.73	52.98		

The above statement should be read in conjunction with the accompanying notes to the financial statements.

Balance Sheet as at 30 June 2006

	Note	Consolidated		Company	
		2006 $	2005 $	2006 $	2005 $
Current assets					
Cash and cash equivalents	32	1,020,621	995,419	452,991	241,961
Trade and other receivables	7	3,536,512	3,216,341	3,343,990	3,091,894
Prepaid expenses		414,504	391,105	389,869	344,195
Managed investment funds	8	7,945,937	9,180,432	7,945,937	9,180,432
Reserve fund	14	2,850,000	2,550,000	2,850,000	2,550,000
Total current assets		15,767,574	16,333,297	14,982,787	15,408,482
Non-current assets					
Trade and other receivables	9	148,214	192,610	148,214	192,610
Other financial assets	10	5,154,119	5,089,817	20,973,034	6,977,474
Reserve fund	14	2,850,000	2,550,000	2,850,000	2,550,000
Intangible assets	12	19,095,280	6,318,761	1,157,664	1,125,711
Property, plant & equipment	11	705,938	594,280	646,318	545,679
Deferred tax assets	3	1,054,831	791,545	1,010,330	750,026
Total non-current assets		29,008,382	15,537,013	26,785,560	12,141,500
Total assets		44,775,956	31,870,310	41,768,347	27,549,982
Current liabilities					
Trade and other payables	15	2,617,441	1,951,032	2,373,530	1,738,175
Provisions	16	1,102,970	880,544	1,016,186	782,857
Other current liabilities	17	562,692	3,121,814	562,692	525,289
Current tax payable	3	1,589,142	1,694,564	1,589,142	1,694,564
Total current liabilities		5,872,245	7,647,954	5,541,550	4,740,885
Non-current liabilities					
Provisions	18	1,084,052	1,397,906	1,054,335	1,373,745
Other non-current liabilities	19	34,995	34,995	124,502	124,502
Deferred tax liabilities – investment revaluation	3	1,428,063	1,180,062	1,428,063	1,180,062
Total non-current liabilities		2,547,110	2,612,963	2,606,900	2,678,309
Total liabilities		8,419,355	10,260,917	8,148,450	7,419,194
Net assets		36,356,601	21,609,393	33,619,897	20,130,788
Equity					
Issued capital	21	26,122,159	14,205,108	26,122,159	14,205,108
Investment revaluation reserve	22	3,418,684	2,867,323	3,418,684	2,867,323
Reserves	22	2,025,530	1,754,201	2,025,530	1,754,201
Retained earnings	23	4,790,228	2,782,761	2,053,524	1,304,156
Total equity		36,356,601	21,609,393	33,619,897	20,130,788

The above statement should be read in conjunction with the accompanying notes to the financial statements.

Statement of Recognised Income and Expense
for the financial year ended 30 June 2006

	Note	Consolidated		Company	
		2006	2005	2006	2005
		$	$	$	$
Available-for-sale investments:					
Valuation gain taken to equity		1,243,793	1,161,581	1,243,793	1,161,581
Transferred to income statement from equity on sale		(444,431)	(546,538)	(444,431)	(546,538)
Income tax on items taken directly to or transferred from equity		(248,001)	(205,586)	(248,001)	(205,586)
Net income recognised directly in equity (in investment revaluation reserve)	22	551,361	409,457	551,361	409,457
Profit for the period		5,155,546	3,402,951	3,897,447	2,718,483
Total recognised income and expense for the period		5,706,907	3,812,408	4,448,808	3,127,940

The above statement should be read in conjunction with the accompanying notes to the financial statements.

Cash Flow Statement
for the financial year ended 30 June 2006

	Note	Consolidated		Company	
		2006	2005	2006	2005
		$	$	$	$
Cash flows from operating activities					
Receipts from customers		24,655,500	18,926,589	19,166,881	14,699,789
Payments to suppliers and employees		(18,017,355)	(15,064,965)	(14,307,041)	(11,904,344)
Interest and other costs of finance paid		–	(147,414)	–	(147,414)
Income tax paid		(2,408,655)	(235,979)	(2,408,655)	(235,979)
Net cash provided by operating activities	32 (b)	4,229,490	3,478,231	2,451,185	2,412,052
Cash flows from investing activities					
Payment for investment securities		(198,459)	(1,059,802)	(198,459)	(1,059,802)
Proceeds on sale of investment securities		1,238,457	1,988,824	1,238,457	1,988,824
Interest received		808,789	668,895	780,431	643,889
Dividends received		358,152	358,291	358,152	358,291
Proceeds from repayment of related party loans		3,161	2,340	1,958,162	956,409
Amounts advanced to related party		–	–	(15,341,095)	–
Payment for property, plant and equipment		(293,406)	(289,490)	(255,916)	(267,851)
Payment for intangible assets		(492,623)	(197,427)	(492,623)	(197,427)
Payment for management rights	12 (b)	(15,341,095)	–	–	–
Net cash (used in) / provided by investing activities		(13,917,024)	1,471,631	(11,952,891)	2,422,333
Cash flows from financing activities					
Proceeds from issue of equity securities		12,158,570	1,267,633	12,158,570	1,267,633
Payment for share issue cost		(256,935)	(7,465)	(256,935)	(7,465)
Dividend paid to members of the parent entity		(3,148,080)	(2,231,013)	(3,148,080)	(2,231,013)
Net cash provided by / (used in) financing activities		8,753,555	(970,845)	8,753,555	(970,845)
Net (decrease) / increase in cash held		(933,979)	3,979,017	(748,151)	3,863,540
Cash held at beginning of financial year		12,804,125	8,825,108	12,050,667	8,187,127
Cash held at end of financial year	32 (a)	11,870,146	12,804,125	11,302,516	12,050,667

The above statement should be read in conjunction with the accompanying notes to the financial statements.

Notes to the Financial Statements for the financial year ended 30 June 2006

1. Summary of accounting policies

Statement of compliance

The financial report is a general purpose financial report which has been prepared in accordance with the Corporations Act 2001, Accounting Standards and Urgent Issues Group Interpretations, and complies with other requirements of the law. Accounting Standards include Australian equivalents to International Financial Reporting Standards ('A-IFRS'). Compliance with the A-IFRS ensures that the consolidated financial statements and notes of the consolidated entity comply with International Financial Reporting Standards ('IFRS').

The financial statements were authorised for issue by the directors on 6 September 2006.

Basis of preparation

The financial report has been prepared on the basis of historical cost, except for the revaluation of certain financial instruments. Cost is based on the fair values of the consideration given in exchange for assets.

In the application of A-IFRS management is required to make judgments, estimates and assumptions about carrying values of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstance, the results of which form the basis of making the judgments. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

Judgments made by management in the application of A-IFRS that have significant effects on the financial statements and estimates with a significant risk of material adjustments in the next year are disclosed, where applicable, in the relevant notes to the financial statements.

Accounting policies are selected and applied in a manner which ensures that the resulting financial information satisfies the concepts of relevance and reliability, thereby ensuring that the substance of the underlying transactions or other events is reported.

The consolidated entity changed its accounting policies on 1 July 2005 to comply with A-IFRS. The transition to A-IFRS is accounted for in accordance with Accounting Standard AASB 1 'First-time Adoption of Australian Equivalents to International Financial Reporting Standards', with 1 July 2004 as the date of transition. An explanation of how the transition from superseded policies to A-IFRS has affected the company's and consolidated entity's financial position, financial performance and cash flows is discussed in note 34.

The accounting policies set out below have been applied in preparing the financial statements for the year ended 30 June 2006, the comparative information presented in these financial statements for the year ended 30 June 2005, and in the preparation of the opening A-IFRS balance sheet at 1 July 2004 (as disclosed in note 34), the consolidated entity's date of transition.

(a) Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, cash in banks and investments in money market instruments.

(b) Comparative amounts

Comparative amounts have, where appropriate, been reclassified in the notes to the financial statements in order to ensure compatibility with amended classifications in the current reporting period.
The reclassification of comparative amounts has not resulted in a change to the aggregate amounts of current assets, non-current assets, current liabilities, non-current liabilities or equity, or the profit/(loss) of the company or economic entity as reported in the prior financial report.

1. Summary of accounting policies (cont)

(c) Employee benefits

Provision is made for benefits accruing to employees in respect of wages and salaries, annual leave, long service leave, and directors retiring allowance when it is probable that settlement will be required and they are capable of being measured reliably.

Provisions made in respect of employee benefits expected to be settled within 12 months, are measured at their nominal values using the remuneration rate expected to apply at the time of settlement.

Provisions made in respect of employee benefits which are not expected to be settled within 12 months are measured as the present value of the estimated future cash outflows to be made by the consolidated entity in respect of services provided by employees up to reporting date.

(d) Financial assets

Investments are recognised and derecognised on trade date where the purchase or sale of an investment is under a contract whose terms require delivery of the investment within the timeframe established by the market concerned, and are initially measured at fair value, net of transaction costs.

Other financial assets are classified into the following specified categories: available-for-sale financial assets, and loans and receivables. The classification depends on the nature and purpose of the financial assets and is determined at the time of initial recognition.

Available-for-sale financial assets

Certain shares and investments in managed investment schemes held by the consolidated entity are classified as being available-for-sale and are stated at fair value less impairment. Gains and losses arising from changes in fair value are recognised directly in the investment revaluation reserve, until the investment is disposed of or is determined to be impaired, at which time the cumulative gain or loss previously recognised in the investment revaluation reserve is included in profit or loss for the period.

Loans and receivables

Trade receivables, loans, and other receivables are recorded at amortised cost less impairment.

(e) Financial instruments issued by the company

Debt and equity instruments

Debt and equity instruments are classified as either liabilities or as equity in accordance with the substance of the contractual arrangement.

Transaction costs on the issue of equity instruments

Transaction costs arising on the issue of equity instruments are recognised directly in equity as a reduction of the proceeds of the equity instruments to which the costs relate. Transaction costs are the costs that are incurred directly in connection with the issue of those equity instruments and which would not have been incurred had those instruments not been issued.

Interest and dividends

Interest and dividends are classified as expenses or as distributions of profit consistent with the balance sheet classification of the related debt or equity instruments.

(f) Goods and services tax

Revenues, expenses and assets are recognised net of the amount of goods and services tax (GST), except:

i. where the amount of GST incurred is not recoverable from the taxation authority, it is recognised as part of the cost of acquisition of an asset or as part of an item of expense; or
ii. for receivables and payables which are recognised inclusive of GST.

The net amount of GST recoverable from, or payable to, the taxation authority is included as part of receivables or payables.

Cash flows are included in the cash flow statement on a gross basis. The GST component of cash flows arising from investing and financing activities which is recoverable from, or payable to, the taxation authority is classified as operating cash flows.

1. Summary of accounting policies (cont)

(g) Impairment of assets

At each reporting date, the consolidated entity reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where the asset does not generate cash flows that are independent from other assets, the consolidated entity estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Goodwill, intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment annually and whenever there is an indication that the asset may be impaired. An impairment of goodwill is not subsequently reversed.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised in the income statement immediately, unless the relevant asset is carried at fair value, in which case the impairment loss is treated as a revaluation decrease.

With the exception of goodwill, where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, but only to the extent that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised in the income statement immediately, unless the relevant asset is carried at fair value, in which case the reversal of the impairment loss is treated as a revaluation increase.

(h) Income tax

Current tax

Current tax is calculated by reference to the amount of income taxes payable or recoverable in respect of the taxable profit or tax loss for the period. It is calculated using tax rates and tax laws that have been enacted or substantively enacted by reporting date. Current tax for current and prior periods is recognised as a liability (or asset) to the extent that it is unpaid (or refundable).

Deferred tax

Deferred tax is accounted for using the comprehensive balance sheet liability method in respect of temporary differences arising from differences between the carrying amount of assets and liabilities in the financial statements and the corresponding tax base of those items.

In principle, deferred tax liabilities are recognised for all taxable temporary differences. Deferred tax assets are recognised to the extent that it is probable that sufficient taxable amounts will be available against which deductible temporary differences or unused tax losses and tax offsets can be utilised. However, deferred tax assets and liabilities are not recognised if the temporary differences giving rise to them arise from the initial recognition of assets and liabilities (other than as a result of a business combination) which affects neither taxable income nor accounting profit. Furthermore, a deferred tax liability is not recognised in relation to taxable temporary differences arising from goodwill.

1. Summary of accounting policies (cont)

(h) Income tax (cont)

Deferred tax liabilities are recognised for taxable temporary differences arising on investments in subsidiaries, branches, associates and joint ventures except where the consolidated entity is able to control the reversal of the temporary differences and it is probable that the temporary differences will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with these investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period(s) when the asset and liability giving rise to them are realised or settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by reporting date. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the consolidated entity expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the consolidated entity intends to settle its current tax assets and liabilities on a net basis. Deferred tax assets and liabilities are shown as a net item except for the deferred tax liability arising in relation to the revaluation of available-for-sale investments, which is shown separately.

Current and deferred tax for the period

Current and deferred tax is recognised as an expense or income in the income statement, except when it relates to items credited or debited directly to equity, in which case the deferred tax is also recognised directly in equity, or where it arises from the initial accounting for a business combination, in which case it is taken into account in the determination of goodwill or excess.

Tax consolidation

The company and its subsidiaries (all of which are wholly-owned Australian resident entities) are part of a tax-consolidated group under Australian taxation law. Equity Trustees Limited is the head entity in the tax-consolidated group.

Entities within the tax-consolidated group have entered into a tax funding arrangement and a tax-sharing agreement with the head entity. Under the terms of the tax funding arrangement, Equity Trustees Limited and each of the entities in the tax-consolidated group has agreed to pay a tax equivalent payment to or from the head entity, based on the current tax liability or current tax asset of the entity.

(i) Intangible assets

Intangible assets acquired in a business combination

All potential intangible assets acquired in a business combination are identified and recognised separately from goodwill where they satisfy the definition of an intangible asset and their fair value can be measured reliably.

Management rights

Management rights relating to the acquisition of the Wealthpac Mastertrust business are carried at cost as a non-current intangible asset. The asset has an indefinite useful life and is accordingly not amortised but is subject to an ongoing impairment test (refer note 1 (g)).

(j) Leased assets

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Operating lease payments are recognised as an expense on a straight-line basis over the lease term, except where another systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

1. Summary of accounting policies (cont)

(j) Leased assets (cont)

In the event that lease incentives are received to enter into operating leases, such incentives are recognised as a liability. The aggregate benefits of incentives are recognised as a reduction of rental expense on a straight-line basis, except where another systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

(k) Payables

Trade payables and other accounts payable are recognised when the consolidated entity becomes obliged to make future payments resulting from the purchase of goods and services.

(l) Principles of consolidation

The consolidated financial statements are prepared by combining the financial statements of all the entities that comprise the consolidated entity, being the company (the parent entity) and its subsidiaries as defined in Accounting Standard AASB 127 Consolidated and Separate Financial Statements. Consistent accounting policies are employed in the preparation and presentation of the consolidated financial statements.

On acquisition, the assets, liabilities and contingent liabilities of a subsidiary are measured at their fair values at the date of acquisition. Any excess of the cost of acquisition over the fair values of the identifiable net assets acquired is recognised as goodwill. If, after reassessment, the fair values of the identifiable net assets acquired exceed the cost of acquisition, the deficiency is credited to the income statement in the period of acquisition

The consolidated financial statements include the information and results of each subsidiary from the date on which the company obtains control and until such time as the company ceases to control such entity.

In preparing the consolidated financial statements, all intercompany balances and transactions, and unrealised profits arising within the consolidated entity are eliminated in full.

(m) Property, plant and equipment

Depreciation is provided on property, plant and equipment. Depreciation is calculated on a straight line basis so as to write off the net cost or other revalued amount of each asset over its expected useful life to its estimated residual value. Leasehold improvements are depreciated over the period of the lease or estimated useful life, whichever is the shorter, using the straight line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each annual reporting period. The following lives are used in the calculation of depreciation:

• Computer & telecom equipment	2 – 4 years
• Computer software	2.5 – 5 years
• Office furniture & equipment	3 – 7 years
• Leasehold assets	7 – 8 years

(n) Provisions

Provisions are recognised when the consolidated entity has a present obligation, the future sacrifice of economic benefits is probable, and the amount of the provision can be measured reliably. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at reporting date, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cashflows estimated to settle the present obligation, its carrying amount is the present value of those cashflows.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, the receivable is recognised as an asset if it is virtually certain that recovery will be received and the amount of the receivable can be measured reliably.

An onerous contract is considered to exist where the consolidated entity has a contract under which the unavoidable cost of meeting the contractual obligations exceed the economic benefits estimated to be received. Present obligations arising under onerous contracts are recognised as a provision to the extent that the present obligation exceeds the economic benefits estimated to be received.

1. Summary of accounting policies (cont)

(o) Revenue recognition

Rendering of services

Revenue from a contract to provide services is recognised by reference to the stage of completion of the contract.

Corpus Commission

Subject to a grant of probate, corpus commission is recognised as revenue based upon stage of completion.

Dividend and interest revenue

Dividend revenue is recognised on a receivable basis. Interest revenue is recognised on a time proportionate basis that takes into account the effective yield on the financial asset.

(p) Share-based payments

Equity-settled share-based payments granted after 7 November 2002 that were unvested as of 1 January 2005, are measured at fair value at the date of grant.

Fair value of the Long Term Incentive Awards is measured by using an adjusted form of the Black-Scholes option pricing model that incorporates a Monte Carlo simulation analysis. The model has been modified to incorporate an estimate of the probability of achieving the performance hurdle and the number of Awards vesting. The fair value determined at the grant date of the equity-settled share-based payments is expensed on a straight-line basis over the vesting period, based on the consolidated entity's estimate of shares that will eventually vest. There are no cash-settled share-based payments.

Where equity-settled share-based payments are intended to be made but not granted at reporting date, a provision is made in the accounts for the expected cost in relation to the reporting period.

Shares issued under the Employee Share Acquisition Plan are valued at fair value determined at the date of issue to employees and this amount is expensed in the income statement with a corresponding entry in issued capital.

(q) Government grants

Government grants are assistance by the government in the form of transfers of resources to the consolidated entity in return for past or future compliance with certain conditions relating to the operating activities of the entity. Government grants include government assistance where there are no conditions specifically relating to the operating activities of the consolidated entity other than the requirement to operate in certain regions or industry sectors.

Government grants relating to income are recognised as income over the periods necessary to match them with the related costs. Government grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the consolidated entity with no future related costs are recognised as income of the period in which it becomes receivable.

Government grants relating to assets are treated as deferred income and recognised in the income statement over the expected useful lives of the assets concerned.

(r) New accounting standards and urgent issues group interpretations

Certain new accounting standards and UIG interpretations have been published that are not mandatory for 30 June 2006 reporting periods. The directors' assessment of the impact of these new standards (to the extent relevant to the consolidated entity) and interpretations is set out below:

AASB 7 Financial Instruments: Disclosures and AASB 2005-10 Amendments to Australian Accounting Standards [AASB 101, AASB 114, AASB 117, AASB 133, AASB 139, AASB 1, AASB 4, AASB 1023 & AASB 1038]

AASB 2005-4 Amendments to Australian Accounting Standards [AASB 139, AASB 132, AASB 1, AASB 1023 & AASB 1038]

AASB 7 and AASB 2005-10 are applicable to annual reporting periods beginning on or after 1 January 2007. AASB 2005-4 is applicable to annual reporting periods beginning on or after 1 January 2006. The consolidated entity has not adopted these standards early. Application of these standards will not affect any of the amounts recognised in the financial statements, but will impact the type of information disclosed in relation to the consolidated entity's financial instruments.

2. Profit from operations

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
(a) Revenue				
Revenue from continuing operations consisted of the following items[1]:				
Commissions and fees	23,499,589	18,717,529	19,090,379	15,420,106
Investment revenue:				
Rental other	26,417	41,759	15,833	5,000
Interest revenue:				
Bank deposits	54,066	43,815	25,708	18,809
Investments	822,574	641,390	822,574	641,390
Dividends other entities	353,005	358,291	353,005	358,291
Other investment income	586,494	782,092	586,494	782,092
Total investment revenue	1,842,556	1,867,347	1,803,614	1,805,582
Attributable to continuing operations[1]	25,342,145	20,584,876	20,893,993	17,225,688
(b) Profit before income tax expense				
Profit before income tax expense has been arrived at after crediting / (charging) the following gains and losses from continuing operations[1]				
Loss on disposal of property, plant and equipment	(2,365)	–	(2,365)	–
Gains on disposal of investments	586,494	782,092	586,494	782,092
	584,129	782,092	584,129	782,092
Government grants received for staff training	40,500	–	40,500	–
Attributable to continuing operations[1]	624,629	782,092	624,629	782,092

[1] No discontinued operations

2. Profit from operations (cont)

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
(b) Profit before income tax expense (cont)				
Profit before income tax has been arrived at after charging the following expenses from continuing operations[1]				
Finance Cost:				
Other interest expense	2,944	72,743	2,944	72,743
Other finance cost – makegood provision (refer note 2 (c))	(56,041)	37,188	(56,041)	37,188
Total Finance Cost	(53,097)	109,931	(53,097)	109,931
Net bad and doubtful debts arising from:				
Other entities	(24,644)	(70,214)	(24,644)	(70,214)
Depreciation of non-current assets	195,804	117,136	152,913	102,898
Amortisation of non-current assets	112,245	123,733	112,245	123,733
	308,049	240,869	265,158	226,631
Loss on sale	2,365	–	2,365	–
Total depreciation and amortisation expenses	310,414	240,869	267,523	226,631
Claims provided for litigation	250,000	85,000	250,000	85,000
Operating lease rental expenses:				
Minimum lease payments	963,706	958,255	814,447	822,639
Employee benefits expenses:				
Share-based payments:				
Equity-settled share-based payments	271,329	95,693	271,329	95,693
Post employment benefits:				
Defined contribution plan	731,260	596,606	590,261	500,611
Other employee benefits	10,483,812	8,283,175	8,872,858	6,983,766
Total employee benefits expenses	11,486,401	8,975,474	9,734,448	7,580,070

[1] No discontinued operations

(c) Revision of accounting estimates

During the financial year management reassessed the amount required to be provided for makegood of the premises at 575 Bourke St, Melbourne. The revised assessment of the cost of makegood is based on a quote provided by an independent building contractor.

The balance sheet impact was a decrease in the provision for makegood of $413,428 to a balance of $376,488 as at 30 June 2006 (2005: $780,952) refer note 18, and a decrease of $348,424 in the makegood leasehold asset arising under AASB 116 to $309,738 at 30 June 2006 (2005: $658,162) refer note 12. The impact on the income statement in the current period was a decrease in makegood finance charge of $65,004 resulting in a negative makegood finance charge of $56,041 for the financial year ended 30 June 2006 and a decrease in the makegood leasehold asset amortisation expense of $152,436 resulting in a negative makegood leasehold asset amortisation expense of $113,718 for the financial year ended 30 June 2006. For future financial years the impact on the income statement will be a decrease in the annual makegood leasehold asset amortisation charge of $43,552 resulting in an annual expense of $38,718.

3. Income taxes

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
(a) Income tax expense recognised in profit or loss				
Income tax expense comprises:				
Current income tax expense	2,526,730	1,855,071	1,981,649	1,544,851
Adjustments recognised in the current year in relation to the current tax of prior years	(174,103)	(15,530)	(174,273)	(15,648)
Deferred tax expense relating to the origination and reversal of temporary differences	(297,263)	(122,313)	(294,197)	(106,887)
Benefit arising from previously unrecognised tax losses, tax credits or temporary differences of a prior period that is used to reduce:				
Current income tax expense	–	(142,824)	–	(142,824)
Total income tax expense	2,055,364	1,574,404	1,513,179	1,279,492
The prima facie income tax expense on pre-tax accounting profit from operations reconciles to the income tax expense in the financial statements as follows:				
Profit from continuing operations	7,210,910	4,977,355	5,410,625	3,997,975
Profit from operations	7,210,910	4,977,355	5,410,625	3,997,975
Income tax expense calculated at 30%	2,163,273	1,493,207	1,623,188	1,199,393
Non-deductible expenses	164,410	272,367	162,480	271,388
Other	(98,216)	(32,818)	(98,216)	(32,818)
	2,229,467	1,732,756	1,687,452	1,437,963
(Over) / under provision of income tax in previous year	(174,103)	(158,352)	(174,273)	(158,471)
Total income tax expense	2,055,364	1,574,404	1,513,179	1,279,492

The tax rate used in the above reconciliation is the corporate tax rate of 30% payable by Australian corporate entities on taxable profits under Australian tax law. There has been no change in the corporate tax rate when compared with the previous reporting period.

3. Income taxes (cont)

	Consolidated		Company	
	2006	2005	2006	2005
	$	$	$	$
(b) Income tax expense recognised directly in equity				
The following current and deferred amounts were charged directly to equity during the period:				
Current tax:				
Revaluations of available-for-sale securities	373,137	348,474	373,137	348,474
Share issue expenses deductible over 5 years	(15,416)	–	(15,416)	–
	357,721	348,474	357,721	348,474
(c) Current tax assets and liabilities				
Current tax payables:				
Income tax payable attributable to:				
Parent entity	1,582,531	1,384,464	1,582,531	1,384,464
Entities in the tax-consolidated group	6,611	310,100	6,611	310,100
	1,589,142	1,694,564	1,589,142	1,694,564
(d) Deferred tax balances				
Deferred tax assets comprise:				
Temporary differences	1,054,831	791,545	1,010,330	750,026
	1,054,831	791,545	1,010,330	750,026
Deferred tax liabilities comprise:				
Temporary differences – investment revaluation	1,428,063	1,180,062	1,428,063	1,180,062
	1,428,063	1,180,062	1,428,063	1,180,062

3. Income taxes (cont)

2006	Consolidated				
	Opening balance $	Charged to income $	Charged to equity $	Acquisitions/ disposals $	Closing balance $
Gross deferred tax liabilities:					
Available-for-sale investments	1,180,062	(125,136)	373,137	–	1,428,063
Gross deferred tax assets:					
Provisions	725,741	364,363	–	–	1,090,104
Expenditure deductible over 5 years	22,827	(6,933)	–	–	15,894
Property, plant and equipment	62,393	(45,910)	–	–	16,483
Intangible assets	(19,416)	(48,234)	–	–	(67,650)
	791,545	263,286	–	–	1,054,831

2005	Consolidated				
	Opening balance $	Charged to income $	Charged to equity $	Acquisitions/ disposals $	Closing balance $
Gross deferred tax liabilities:					
Available-for-sale investments	974,476	(142,888)	348,474	–	1,180,062
Gross deferred tax assets:					
Provisions	584,531	141,210	–	–	725,741
Expenditure deductible over 5 years	3,272	19,555	–	–	22,827
Property, plant and equipment	37,208	25,185	–	–	62,393
Intangible assets	7,394	(26,810)	–	–	(19,416)
	632,405	159,140	–	–	791,545

3. Income taxes (cont)

2006	Company				
	Opening balance $	Charged to income $	Charged to equity $	Acquisitions/ disposals $	Closing balance $
Gross deferred tax liabilities:					
Available-for-sale investments	1,180,062	(125,136)	373,137	–	1,428,063
Gross deferred tax assets:					
Provisions	683,429	361,543	–	–	1,044,972
Expenditure deductible over 5 years	22,827	(6,933)	–	–	15,894
Property, plant and equipment	63,186	(46,072)	–	–	17,114
Intangible assets	(19,416)	(48,234)	–	–	(67,650)
	750,026	260,304	–	–	1,010,330

2005	Company				
	Opening balance $	Charged to income $	Charged to equity $	Acquisitions/ disposals $	Closing balance $
Gross deferred tax liabilities:					
Available-for-sale investments	974,476	(142,888)	348,474	–	1,180,062
Gross deferred tax assets:					
Provisions	556,946	126,483	–	–	683,429
Expenditure deductible over 5 years	3,272	19,555	–	–	22,827
Property, plant and equipment	37,208	25,978	–	–	63,186
Intangible assets	7,394	(26,810)	–	–	(19,416)
	604,820	145,206	–	–	750,026

The consolidated entity has no unrecognised deferred tax balances.

e) Tax consolidation

Relevance of tax consolidation to the consolidated entity
The company and its wholly-owned Australian resident entities formed a tax consolidated group with effect from 1 July 2003 and are therefore taxed as a single entity from that date. The head entity within the tax consolidated group is Equity Trustees Limited. The members of the tax consolidated group are identified at note 28.

Nature of tax funding arrangements and tax sharing agreements
Entities within the tax consolidated group have entered into a tax funding arrangement and a tax-sharing agreement with the head entity. Under the terms of the tax funding arrangement, Equity Trustees Limited and each of the entities in the tax consolidated group has agreed to pay or receive a tax equivalent payment to or from the head entity, based on the current tax liability or current tax asset of the entity. Such amounts are reflected in amounts receivable from or payable to other entities in the tax consolidated group.

The tax sharing agreement entered into between members of the tax-consolidated group provides for the determination of the allocation of income tax liabilities between the entities should the head entity default on its tax payment obligations. No amounts have been recognised in the financial statements in respect of this agreement as payment of any amounts under the tax sharing agreement is considered remote.

4. Key management personnel remuneration

The remuneration of specified directors and executives for the year ended 30 June 2006 is outlined in the Directors' Report.

5. Executive share performance plan

During the financial year, the Board of Directors approved the activation of the Equity Trustees Limited Executive Performance Share Plan 1999 (the Plan). Prior to this approval, no share entitlements, or other securities had been offered under the Plan.

The structure of the Plan was approved by the Equity Trustees Limited Board Remuneration Committee so as to form part of the remuneration structure of eligible executives, in particular, the long term incentive (LTI) component of remuneration.

The commencement of the initial LTI award (Award) applies from 1 July 2005, and in the case of the Managing Director, approval was obtained from shareholders at the Annual General Meeting held on 28 October 2005.

The key features of the Award are as follows:

- the Remuneration Committee will consider and approve participants under the Plan.
- the value of the Award is determined by the Equity Trustees Limited Board Remuneration Committee.
- the number of share entitlements issued to each participant is calculated by dividing the value of the Award by the weighted average share price of Equity Trustees Limited shares traded during the 3 month period to 30 June 2005.
- the term of the Award is a 3 year period, with additional performance assessments during the 4th year, if required.
- the performance criteria are based on:
  - 50% as to Total Shareholder Return (TSR), and
  - 50% as to Earnings Per Share (EPS).
- TSR is defined as the increase in share price over the 3 year measurement period, plus dividends reinvested over the 3 year period. This is compared to a Comparator Group based on the ASX200 Index and a vesting scale applied.
- EPS is based on normalised operating profit before tax, which excludes profits/losses on the sale of investments. The EPS is compared to the base year and a vesting scale applied to calculate earned entitlements.
- each share entitlement converts to one ordinary share of Equity Trustees Limited on exercise.
- no amounts are paid or payable by participants on receipt of the share entitlement.
- the share entitlements carry neither rights to dividends nor voting rights.
- the number of share entitlements on issue is adjusted for any capital reconstructions during the measurement period.
- holders of share entitlements do not have a right, by virtue of the entitlements held, to participate in any new share issue of the company.
- the participant must be employed within the Equity Trustees Limited Group for the duration of the measurement period to exercise any share entitlements.
- shares issued after the completion of the measurement period are subject to an escrow period of a further 2 years from the end of the initial 3 year measurement period.
- dividends vest to the participant during the 2 year escrow period.
- the use of hedging or derivative techniques is not permitted until shares are released from escrow.

5. Executive share performance plan (cont)

The following share-based payment arrangements were in existence during the period:

Awards series	Number	Grant date	Expiry date	Exercise price $	Fair value at grant date $
2005/06 Series	48,998	28/10/05	30/6/08	nil	10.31

The weighted average fair value of the share entitlements granted during the financial year is $10.31 (2005: n/a). The share entitlements were valued by PricewaterhouseCoopers using an adjusted form of the Black-Scholes Option Pricing Model that incorporates a Monte Carlo simulation analysis. The model has been modified to incorporate an estimate of the probability of achieving the TSR hurdle and the number of share entitlements vesting.

Inputs into the model	2005/06 Series
Grant date share price	$12.60
Exercise price	nil
Expected volatility	30%pa
Share entitlement life	3 years*
Dividend yield	3.30%
Risk-free interest rate	5.35%

* In accordance with the Plan, the measurement of performance criteria is at the end of the 3 year period ending 30 June 2008, however if the performance criteria are not fully achieved there will be further assessments at the end of each month during the 4th year to 30 June 2009.

The following reconciles the outstanding share entitlements granted under the Plan at the beginning and end of the financial year:

	2006		2005	
	Number of share entitlements	Weighted average exercise price $	Number of share entitlements	Weighted average exercise price $
Balance at beginning of the financial year	–	–	–	–
Granted during the financial year	48,998	–	–	–
Balance at end of the financial year[1]	48,998	–	–	–
Exercisable at end of the financial year	–	–	–	–

[1] Balance at end of the financial year

No share entitlements granted under the Plan were exercised during the financial year.

The share entitlements at the end of the financial year had an exercise price of nil, and a weighted average remaining contractual life of 731 days, plus if required, a further 365 days if the measurement criteria is not achieved at the end of 731 days.

6. Remuneration of auditors

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
Auditor of the parent entity				
Audit and review of the financial report	194,999	165,132	151,585	144,232
Taxation services	33,230	47,213	33,230	47,213
Other – Regulatory and statutory returns	8,365	46,015	8,365	38,365
	236,594	258,360	193,180	229,810

The auditor of Equity Trustees Limited is Deloitte Touche Tohmatsu.

7. Current trade and other receivables

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
Trade receivables[1]	2,755,028	2,497,810	2,562,506	2,373,363
Allowance for doubtful debts	(40,947)	(66,371)	(40,947)	(66,371)
Other	822,431	784,902	822,431	784,902
	3,536,512	3,216,341	3,343,990	3,091,894

[1] The average credit period for trade receivables is less than 30 days. No interest is charged on the trade receivables. An allowance has been made for estimated irrecoverable amounts relating to outstanding trade receivables as determined by a specific review of each account. The movement in the allowance of $25,424 (company: $25,424) was recognised in the income statement for the current financial year.

8. Other current financial assets

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
At fair value (2005: fair value)				
Managed investments funds	7,945,937	9,180,432	7,945,937	9,180,432
	7,945,937	9,180,432	7,945,937	9,180,432

9. Non-current trade and other receivables

	Consolidated		Company	
	2006	2005	2006	2005
	$	$	$	$
Corpus commission earned but not collected	148,214	192,610	148,214	192,610
	148,214	192,610	148,214	192,610

10. Other non-current financial assets

	Consolidated		Company	
	2006	2005	2006	2005
	$	$	$	$
Shares in controlled entities	–	–	12	12
At fair value (2005: fair value)				
Available-for-sale: – Shares	5,149,756	5,082,582	5,149,756	5,082,582
At amortised cost (2005: cost)				
Loans and mortgages	4,363	7,235	4,363	7,235
Intercompany loans	–	–	15,818,903	1,887,645
	5,154,119	5,089,817	20,973,034	6,977,474

11. Property, plant and equipment

	Consolidated			
	Computer & telecom equipment at cost $	Leasehold improvements at cost $	Office furniture & equipment at cost $	Total $
Gross carrying amount				
Balance at 1 July 2004	441,044	310,405	371,555	1,123,004
Additions	245,175	8,272	34,074	287,521
Disposals	–	–	–	–
Balance at 1 July 2005	686,219	318,677	405,629	1,410,525
Additions	233,771	–	76,055	309,826
Disposals	(161,239)	–	(48,944)	(210,183)
Balance at 30 June 2006	758,751	318,677	432,740	1,510,168
Accumulated depreciation / amortisation and impairment				
Balance at 1 July 2004	407,031	80,174	211,904	699,109
Disposals	–	–	–	–
Depreciation expense	31,134	40,894	45,108	117,136
Balance at 1 July 2005	438,165	121,068	257,012	816,245
Disposals	(159,915)	–	(47,904)	(207,819)
Depreciation expense	82,062	40,969	72,773	195,804
Balance at 30 June 2006	360,312	162,037	281,881	804,230
Net book value				
As at 30 June 2005	248,054	197,609	148,617	594,280
As at 30 June 2006	398,439	156,640	150,859	705,938

11. Property, plant and equipment (cont)

	Company			
	Computer & telecom equipment at cost $	Leasehold improvements at cost $	Office furniture & equipment at cost $	Total $
Gross carrying amount				
Balance at 1 July 2004	441,044	310,405	321,504	1,072,953
Additions	245,175	8,272	14,402	267,849
Disposals	–	–	–	–
Balance at 1 July 2005	686,219	318,677	335,906	1,340,802
Additions	233,771	–	22,145	255,916
Disposals	(161,239)	–	(48,944)	(210,183)
Balance at 30 June 2006	758,751	318,677	309,107	1,386,535
Accumulated depreciation / amortisation and impairment				
Balance at 1 July 2004	407,031	80,174	205,020	692,225
Disposals	–	–	–	–
Depreciation expense	31,134	40,894	30,870	102,898
Balance at 1 July 2005	438,165	121,068	235,890	795,123
Disposals	(159,915)	–	(47,904)	(207,819)
Depreciation expense	82,062	40,969	29,882	152,913
Balance at 30 June 2006	360,312	162,037	217,868	740,217
Net book value				
As at 30 June 2005	248,054	197,609	100,016	545,679
As at 30 June 2006	398,439	156,640	91,239	646,318

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
Aggregate depreciation recognised as an expense during the year:				
Computer & telecom equipment	82,062	31,134	82,062	31,134
Leasehold improvements	40,969	40,894	40,969	40,894
Office furniture and equipment	72,773	45,108	29,882	30,870
	195,804	117,136	152,913	102,898

No depreciation was capitalised.
Depreciation expense is included in the line item 'depreciation and amortisation expenses' of the income statement.

12. (a) Intangible assets

	Consolidated			
	Computer software $	Leasehold makegood $	Management rights $	Total $
Gross carrying amount				
Balance at 1 July 2004	1,363,838	658,162	5,193,050	7,215,050
Additions	197,427	–	–	197,427
Disposals	–	–	–	–
Balance at 1 July 2005	1,561,265	658,162	5,193,050	7,412,477
Additions	492,622	–	12,744,566	13,237,188
Amendment to amortisation expense – refer note 2 (c)	–	(348,424)	–	(348,424)
Disposals	(220,777)	–	–	(220,777)
Balance at 30 June 2006	1,833,110	309,738	17,937,616	20,080,464
Accumulated amortisation and impairment				
Balance at 1 July 2004	764,307	205,676	–	969,983
Amortisation expense[1]	41,463	82,270	–	123,733
Disposals	–	–	–	–
Balance at 1 July 2005	805,770	287,946	–	1,093,716
Amortisation expense[1]	225,964	38,717	–	264,681
Amendment to amortisation expense – refer note 2 (c)	–	(152,436)	–	(152,436)
Disposals	(220,777)	–	–	(220,777)
Balance at 30 June 2006	810,957	174,227	–	985,184
Net book value				
As at 30 June 2005	755,495	370,216	5,193,050	6,318,761
As at 30 June 2006	1,022,153	135,511	17,937,616	19,095,280

[1] Amortisation expense is included in the line item 'depreciation and amortisation expenses' of the income statement.

12. (a) Intangible assets (cont)

	Company			
	Computer software $	Leasehold makegood $	Management rights $	Total $
Gross carrying amount				
Balance at 1 July 2004	1,363,838	658,162	–	2,022,000
Additions	197,427	–	–	197,427
Disposals	–	–	–	–
Balance at 1 July 2005	1,561,265	658,162	–	2,219,427
Additions	492,622	–	–	492,622
Amendment to amortisation expense – refer note 2 (c)	–	(348,424)	–	(348,424)
Disposals	(220,777)	–	–	(220,777)
Balance at 30 June 2006	1,833,110	309,738	–	2,142,848
Accumulated amortisation and impairment				
Balance at 1 July 2004	764,307	205,676	–	969,983
Amortisation expense[1]	41,463	82,270	–	123,733
Disposals	–	–	–	–
Balance at 1 July 2005	805,770	287,946	–	1,093,716
Amortisation expense[1]	225,964	38,717	–	264,681
Amendment to amortisation expense – refer note 2 (c)	–	(152,436)	–	(152,436)
Disposals	(220,777)	–	–	(220,777)
Balance at 30 June 2006	810,957	174,227	–	985,184
Net book value				
As at 30 June 2005	755,495	370,216	–	1,125,711
As at 30 June 2006	1,022,153	135,511	–	1,157,664

[1] Amortisation expense is included in the line item 'depreciation and amortisation expenses' of the income statement.

(b) Significant intangible assets

On 3 February 2006 Equity Trustees Limited entered into an agreement to settle the dispute regarding the calculation of the amount payable for the acquisition of the Wealthpac business. Under this agreement Equity Trustees Limited agreed to pay a total consideration of $17,596,521 (including previous payments of $2,596,521) plus stamp duty of $341,095. The final payment of $15,000,000 was paid in cash on 17 February 2006 and the stamp duty of $341,095 was also paid.

The full acquisition cost of $17,937,616 (including stamp duty) has been capitalised in the accounts of Equity Investment Management Limited as an intangible asset – management rights (refer note 1 (i)).

13. Reserve fund

The Trustee Companies Act 1984, Section 36, requires that a Reserve Fund be provided, the value of which shall not be less than five-tenths of one per centum of the value of that part of the trust estates in Victoria committed to the administration of the trustee company and five-tenths of one per centum of the value of money received in Victoria for investment in a Common Fund to which Section 4 (1)(m) of the Trustee Act 1958 applies.

Section 39 (3) of the Act provides that:
In the event of the appointment of a liquidator, a receiver, a receiver and manager or an official manager of a trustee company, moneys in its reserve fund are available for the following purposes:
(a) First, for the payment of sums due from the trustee company to estates committed to the trustee company's administration or management in Victoria;
(b) Secondly, for the payment of sums due from the trustee company to persons in respect of moneys (not being an estate or part of an estate) paid in Victoria to the trustee company for investment in a common fund;
(c) Thirdly, for the payment of sums due from the trustee company to estates committed to the trustee company's administration of management outside Victoria;
(d) Fourthly, for the payment of sums due from the trustee company to persons in respect of moneys (not being an estate or part of an estate) paid outside Victoria to the trustee company for investment in a common fund; and
(f) Fifthly, for the payment of debts of the trustee company.

14. Reserve fund investments

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
Managed investment funds (current)	2,850,000	2,550,000	2,850,000	2,550,000
Share investments (non-current)	2,850,000	2,550,000	2,850,000	2,550,000
	5,700,000	5,100,000	5,700,000	5,100,000

The above investments have been appropriated to the Reserve Fund which is in excess of the Reserve Liability requirements of the Company pursuant to Section 36 of the Trustee Companies Act 1984.
The Reserve Fund calculation as at 30 June 2006 is $5,687,768 (2005: $5,085,060).

15. Current trade and other payables

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
Trade payables[1]	2,113,276	1,599,163	1,962,266	1,450,722
Goods and services tax payable	504,165	351,869	411,264	287,453
	2,617,441	1,951,032	2,373,530	1,738,175

[1] The consolidated entity's policy is to pay all invoices within 30 days of receipt. No interest charges have been incurred on trade payables.

16. Current provisions

	Consolidated				
	Claims $	Equity Trustees Foundation $	Employee Benefits (note 20) $	Fringe Benefit Tax $	Total $
Balance at 1 July 2005	220,000	40,000	606,833	13,711	880,544
Additional provisions recognised	250,000	68,000	–	34,000	352,000
Reductions arising from payments	(46,600)	(40,000)	–	(13,711)	(100,311)
Other movements	–	–	(29,263)	–	(29,263)
Balance at 30 June 2006	423,400	68,000	577,570	34,000	1,102,970

	Company				
	Claims $	Equity Trustees Foundation $	Employee Benefits (note 20) $	Fringe Benefit Tax $	Total $
Balance at 1 July 2005	220,000	40,000	509,146	13,711	782,857
Additional provisions recognised	250,000	68,000	–	34,000	352,000
Reductions arising from payments	(46,600)	(40,000)	–	(13,711)	(100,311)
Other movements	–	–	(18,360)	–	(18,360)
Balance at 30 June 2006	423,400	68,000	490,786	34,000	1,016,186

17. Other current liabilities

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
Corpus commission collected but not earned	387,849	187,404	387,849	187,404
Other	174,843	2,934,410	174,843	337,885
	562,692	3,121,814	562,692	525,289

18. Non-current provisions

	Consolidated				
	Claims $	Makegood $	Employee Benefits (note 20) $	Directors' retiring allowance $	Total $
Balance at 1 July 2005	–	780,952	257,845	359,109	1,397,906
Additional provisions recognised	–	8,964	–	82,927	91,891
Reductions resulting from re-measurement of estimated future sacrifices	–	(413,428)	–	–	(413,428)
Other movements	–	–	7,683	–	7,683
Balance at 30 June 2006	–	376,488	265,528	442,036	1,084,052

	Company				
	Claims $	Makegood $	Employee Benefits (note 20) $	Directors' retiring allowance $	Total $
Balance at 1 July 2005	–	780,952	233,684	359,109	1,373,745
Additional provisions recognised	–	8,964	–	82,927	91,891
Reductions resulting from re-measurement of estimated future sacrifices	–	(413,428)	–	–	(413,428)
Other movements	–	–	2,127	–	2,127
Balance at 30 June 2006	–	376,488	235,811	442,036	1,054,335

19. Other non-current liabilities

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
Amounts owing to controlled entity	–	–	89,507	89,507
Corpus commission collected but not earned	34,995	34,995	34,995	34,995
	34,995	34,995	124,502	124,502

20. Employee benefits

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
The aggregate employee benefits liability recognised and included in the financial statements is as follows:				
Provision for employee benefits:				
Current (note 16)				
– Annual leave	541,247	557,441	455,141	459,754
– Long service leave	36,323	49,392	35,645	49,392
	577,570	606,833	490,786	509,146
Non-current (note 18)				
– Long service leave	265,528	257,845	235,811	233,684
– Directors' retiring allowance	442,036	359,109	442,036	359,109
	1,285,134	1,223,787	1,168,633	1,101,939

21. Issued capital

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
7,683,444 fully paid ordinary shares (2005: 6,480,850)	26,122,159	14,205,108	26,122,159	14,205,108

Changes to the then Corporations Law abolished the authorised capital and par value concept in relation to share capital from 1 July 1998. Therefore, the company does not have a limited amount of authorised capital and issued shares do not have a par value.

Fully paid ordinary shares

	2006		2005	
	No.	$	No.	$
Balance at beginning of financial year	6,480,850	14,205,108	6,300,854	12,849,247
Issue of shares under share placement and share purchase plan, net of share issue costs	1,101,440	10,666,029	–	–
Issue of shares under employee share scheme, net of share issue costs	–	–	8,544	95,693
Issue of shares under dividend reinvestment plan (DRP) – final dividend	57,047	654,900	55,373	406,990
Issue of shares – underwriting of DRP shortfall on final dividend	–	–	116,079	853,178
Issue of shares under DRP – interim dividend	44,107	596,122	–	–
Balance at end of financial year	7,683,444	26,122,159	6,480,850	14,205,108

Fully paid ordinary shares carry one vote per share and carry the right to dividends.

21. Issued capital (cont)

Share Awards

In accordance with the provisions of the Equity Trustees Limited Executive Performance Share Plan 1999 (the Plan), as at 30 June 2006, the Managing Director and eligible executives have share entitlements over 48,998 ordinary shares (2005: nil), in aggregate, with 48,998 of those share entitlements expiring 30 June 2008. The Plan share entitlements carry no rights to dividends and no voting rights. Further details of the Plan are contained in note 5 to the financial statements.

22. Reserves

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
General (i)	1,500,000	1,500,000	1,500,000	1,500,000
Employee equity-settled benefits (ii)	271,329	–	271,329	–
Capital profits (iii)	254,201	254,201	254,201	254,201
	2,025,530	1,754,201	2,025,530	1,754,201
(i) General reserve				
Balance at beginning of financial year	1,500,000	1,500,000	1,500,000	1,500,000
Movements	–	–	–	–
Balance at end of financial year	1,500,000	1,500,000	1,500,000	1,500,000
(ii) Employee equity-settled benefits reserve				
Balance at beginning of financial year	–	–	–	–
Executive share entitlements plan (refer note 5)	168,329	–	168,329	–
Provision for Employee Share Acquisition Plan shares	103,000	–	103,000	–
Balance at end of financial year	271,329	–	271,329	–

The employee equity-settled benefits reserve arises on the granting of share entitlements to eligible employees under the Equity Trustees Limited Executive Performance Share Plan 1999 (the Plan) (refer note 5) and on the provision for shares to be issued to staff under the Employee Share Acquisition Plan (ESAP). The ESAP is in place to allow eligible employees to participate in share allotments as approved by the Board on an on-going basis as deemed appropriate. The Board has approved the issue of shares under the ESAP in relation to the financial year ended 30 June 2006 but as at that date these shares had not been issued.

Amounts are transferred out of this reserve and into issued capital when shares are issued under the Plan or when shares are granted under the ESAP.

22. Reserves (cont)

	Consolidated		Company	
	2006	2005	2006	2005
	$	$	$	$
(iii) Capital profits reserve				
Balance at beginning of financial year	254,201	254,201	254,201	254,201
Movements	–	–	–	–
Balance at end of financial year	254,201	254,201	254,201	254,201
Investment revaluation reserve				
Balance at beginning of financial year	2,867,323	2,457,866	2,867,323	2,457,866
Revaluation increments	1,243,793	1,161,581	1,243,793	1,161,581
Deferred tax liability arising on revaluation	(373,137)	(348,474)	(373,137)	(348,474)
Reversal of deferred tax liability on revaluation	125,136	142,888	125,136	142,888
Transferred to income statement	(444,431)	(546,538)	(444,431)	(546,538)
	551,361	409,457	551,361	409,457
Balance at end of financial year	3,418,684	2,867,323	3,418,684	2,867,323

The investment revaluation reserve arises on the revaluation of investment financial assets that are accounted for as available-for-sale (refer note 1(d)). Where a revalued asset is sold, that part of the revaluation reserve that relates to the sold asset is transferred to the income statement and where a revalued asset is impaired, the portion of the reserve which exceeds the fair value of the impaired asset is transferred to the income statement.

23. Retained earnings

	Consolidated		Company	
	2006	2005	2006	2005
	$	$	$	$
Balance at beginning of financial year	2,782,761	1,610,823	1,304,156	816,686
Net profit attributable to members of the parent entity	5,155,546	3,402,951	3,897,447	2,718,483
Dividends provided for or paid (note 25)	(3,148,079)	(2,231,013)	(3,148,079)	(2,231,013)
Balance at end of financial year	4,790,228	2,782,761	2,053,524	1,304,156

24. Earnings per share

	Consolidated	
	2006 Cents per share	2005 Cents per share
Basic earnings per share[1]	69.94	52.98
Total basic earnings per share	69.94	52.98
Diluted earnings per share[1]	69.73	52.98
Total diluted earnings per share	69.73	52.98

[1] No discontinued operations

Basic earnings per share	Consolidated	
	2006 $	2005 $
The earnings and weighted average number of ordinary shares used in the calculation of basic earnings per share are as follows: Earnings[1]	5,155,546	3,402,951
	2006 No.	2005 No.
Weighted average number of ordinary shares for the purposes of basic earnings per share	7,371,590	6,422,678

[1] No discontinued operations

Diluted earnings per share	Consolidated	
	2006 $	2005 $
The earnings and weighted average number of ordinary shares used in the calculation of diluted earnings per share are as follows: Earnings[1]	5,155,546	3,402,951
	2006 No.	2005 No.
Weighted average number of ordinary shares for the purposes of diluted earnings per share.	7,393,847	6,422,678

[1] No discontinued operations

The weighted average number of ordinary shares for the purposes of diluted earnings per share reconciles to the weighted average number of ordinary shares used in the calculation of basic earnings per share as follows:

	Consolidated	
	2006 No.	2005 No.
Weighted average number of ordinary shares used in the calculation of basic earnings per share	7,371,590	6,422,678
Employee share options	22,257	–
Weighted average number of ordinary shares used in the calculation of diluted earnigs per share	7,393,847	6,422,678

There were no converted, lapsed, or cancelled potential ordinary shares included in the calculation of diluted earnings per share.

25. Dividends

	2006		2005	
Recognised amounts	**Cents per share**	**$**	**Cents per share**	**$**
Fully paid ordinary shares				
Interim dividend:				
Fully franked (Prior year: Fully franked)	20	1,527,866	15	970,845
Final dividend:				
Fully franked (Prior year: Fully franked)	25	1,620,213	20	1,260,168
	45	3,148,079	35	2,231,013
Unrecognised amounts				
Fully paid ordinary shares				
Final dividend Fully franked (Prior year: Fully franked)	30	2,305,033	25	1,620,213

	Company	
	2006	**2005**
	$	**$**
Adjusted franking account balance	4,262,870	3,059,880
Impact on franking account balance of dividends not recognised	987,871	694,377

26. Commitments for expenditure

	Consolidated		Company	
(a) Capital expenditure commitments	2006 $	2005 $	2006 $	2005 $
Plant and equipment				
Not longer than 1 year	–	141,650	–	141,650
	–	141,650	–	141,650

(b) Operating lease commitments

(i) There are two non-cancellable property leases with rent payable in advance as follows:
- Expiring 14 December 2009 with lease payment increases of 5% p.a. and an option to renew at the end of the period for a further seven years.
- Expiring 30 June 2011, in relation to a controlled entity.

(ii) A number of equipment leases are in existence with expiry dates from September 2006 to April 2009. There are 2 copier leases which have minimum monthly lease payments and additional charges if usage exceeds a set number of monthly prints.

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
Non-cancellable operating lease payments				
Not longer than 1 year	920,904	903,514	659,464	776,624
Longer than 1 year and not longer than 5 years	2,875,263	2,368,453	1,720,660	2,368,453
	3,796,167	3,271,967	2,380,124	3,145,077

The consolidated entity has no onerous lease contracts.

(iii) There is one non-cancellable operating property sublease which expires 30 June 2011.

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
Non-cancellable operating lease receivables				
Not longer than 1 year	44,949	–	–	–
Longer than 1 year and not longer than 5 years	95,363	–	–	–
	140,312	–	–	–

27. Contingent liabilities and assets

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
Contingent liabilities				
Performance bond for AFSL licence – controlled entity	20,000	20,000	20,000	20,000
Performance bond for lease – controlled entity	151,376	47,745	151,376	47,745
Bank guarantee – non broker participation with ASX	500,000	500,000	500,000	500,000
	671,376	567,745	671,376	567,745

The consolidated entity has a contingent liability of $20,000 relating to a bank guarantee for a performance bond in relation to the holding of an Australian Financial Services licence, a contingent liability of $500,000 relating to a bank guarantee in relation to its non-broker participation with the Australian Stock Exchange, and $151,376 in relation to a performance bond for a controlled entity's building lease.

During the year ended 30 June 2005 the consolidated entity received a claim for an error or omission in relation to the handling of an estate. During the financial year ended 30 June 2006 this claim was settled at no cost to the consolidated entity.

During the financial year ended 30 June 2005 the consolidated entity identified a contingent liability in relation to the requirement to makegood the premises at 575 Bourke St, Melbourne at the end of the lease. On transition to A-IFRS the consolidated entity has recognised a provision for the makegood liability (refer note 18) and in accordance with AASB 116 has recognised a leasehold asset (refer note 12).

Contingent liabilities exist in respect of certain trust and estate accounts that are overdrawn, however, these contingent liabilities are mitigated by the assets held by these trust and estate accounts which are considered ample to cover any contingent liability.

Apart from the disclosures above and the settlement of the Wealthpac matter (refer note 12), the above contingent liabilities are unchanged from 30 June 2005.

There are no contingent assets (2005: nil)

28. Subsidiaries

Name of entity	Country of incorporation	Ownership interest 2006	Ownership interest 2005
Parent entity			
Equity Trustees Limited	Australia	100%	100%
Subsidiaries			
Equity Nominees Limited	Australia	100%	100%
Equity Investment Management Limited	Australia	100%	100%
Wealthpac Australia Limited	Australia	100%	100%

(i) Equity Trustees Limited is the head entity within the tax consolidated group
(ii) All the above subsidiaries are members of the tax consolidated group

29. Segment information

	2006 $	2005 $
Segment revenues		
Funds Management	11,885,764	9,668,618
Trustee Services and Responsible Entity	11,613,825	9,048,911
Total all segments	23,499,589	18,717,529
Unallocated[1]	1,842,556	1,867,347
Consolidated	25,342,145	20,584,876
[1] Unallocated includes the following:		
Gain on sale of investments	586,494	782,092
Other investment income	1,256,062	1,085,255
Total unallocated	1,842,556	1,867,347
All segment revenues are from external sales		
Segment result		
Funds Management	7,096,354	5,463,444
Trustee Services and Responsible Entity	7,541,211	5,071,068
Total all segments	14,637,565	10,534,512
Unallocated[2]	(7,426,655)	(5,557,157)
Profit from ordinary activities before income tax	7,210,910	4,977,355
Income tax expense relating to ordinary activities	(2,055,364)	(1,574,404)
Profit from ordinary activities after income tax	5,155,546	3,402,951
[2] Unallocated includes the following:		
Gains/(loss) on sale of investments	586,494	782,092
Other investment income	1,256,062	1,085,255
Business support services	(9,269,211)	(7,424,504)
Total unallocated	(7,426,655)	(5,557,157)

29. Segment information (cont)

Segment assets and liabilities

	Assets		Liabilities	
	2006	2005	2006	2005
	$	$	$	$
Funds Management	19,655,287	7,211,011	430,941	3,327,787
Trustee Services and Responsible Entity	2,446,920	2,378,194	1,368,878	697,117
Total of all segments	22,102,207	9,589,205	1,799,819	4,024,904
Unallocated	22,673,749	22,281,105	6,619,536	6,236,013
Consolidated	44,775,956	31,870,310	8,419,355	10,260,917

The acquisition of segment assets, depreciation and amortisation of segment assets and other 'non-cash' expenses has not been disclosed as these are attributed to the Group as a whole and not to any particular segment.

Geographical Segments

The group operates solely in Australia. The Australian market is not divided into further geographic segments as the consolidated entity's financial services products are available throughout Australia and the geographic location of the consolidated entity's business does not have a significant impact on risk.

30. Acquisition of business

During the year ended 30 June 2006, there were no acquisitions or sales of businesses (2005: nil).

31. Related party disclosures

(a) Equity interests in related parties

Details of the percentage of ordinary shares held in subsidiaries are disclosed in note 28 to the financial statements.
The company does not hold any interests in associates, joint ventures, or other related parties.

(b) Key management personnel remuneration

Details of key management personnel remuneration are disclosed in the Directors' Report.

(c) Loan disclosures

–Nil

31. Related party disclosures (cont)

(d) Key management personnel equity holdings

Fully paid ordinary shares of Equity Trustees Limited

	Balance at 1 Jul 05	Net change	Balance at 30 Jun 06	Balance held nominally
	No.	No.	No.	No.
Specified directors				
P G Molyneux	5,543	588	6,131	3,044
P J Williams	1,042	4,052	5,094	4,047
D F Groves	149,663	27,915	177,578	176,735
J R McConnell	15,963	2,311	18,274	16,675
B J Jackson	10,000	500	10,500	–
J A Killen	3,039	619	3,658	–
R A Illingworth	40,529	1,500	42,029	39,501
Specified executives				
T Ryan	417	523	940	–
H H Kalman	878	5,509	6,387	5,966
S R Manuell	415	522	937	–
P B Maddox	415	522	937	–
R P Dillon	2,031	1,089	3,120	1,537
	229,935	45,650	275,585	247,505

No ordinary shares were granted as remuneration or received on exercise of options during the year.

Entitlements to shares of Equity Trustees Limited issued under the Executive Performance Share Plan 1999

	Balance at 1 Jul 05	Granted as remuneration	Balance at 30 Jun 06
	No.	No.	No.
Specified directors			
P G Molyneux	–	–	–
P J Williams	–	15,190	15,190
D F Groves	–	–	–
J R McConnell	–	–	–
B J Jackson	–	–	–
J A Killen	–	–	–
R A Illingworth	–	–	–
Specified executives			
T Ryan	–	7,051	7,051
H H Kalman	–	7,051	7,051
S R Manuell	–	6,751	6,751
P B Maddox	–	6,319	6,319
R P Dillon	–	–	–
	–	42,362	42,362

As at 30 June 2006 none of the shares had vested and none had been issues (2005: nil)

31. Related party disclosures (cont)

(d) Key management personnel equity holdings (cont)

All share entitlements issued to eligible executives during the financial year were made in accordance with the provisions of the Equity Trustees Limited Executive Performance Share Plan 1999 (the Plan).

Further details of the Plan and of share entitlements granted during the financial year are contained in notes 5 and 22 to the financial statements and in the Directors' Report.

(e) Other transactions with specified directors and specified executives

	Consolidated	
	2006 $	2005 $
The profit from operations includes the following items of revenue and expense that resulted from transactions other than remuneration, loans or equity holdings, with specified directors or their personally-related entities:		
Interest expense	–	73,946
Operating lease payments	–	40,437
Total recognised as expenses	–	114,383

A controlled entity purchased fixed assets for $29,823 (2005: nil) from entities related to Mr R P Dillon, a director of that controlled entity.

The consolidated entity paid an amount of $15,341,095 (2005:nil) to an entity related to Mr R P Dillon, director of a controlled entity in relation to the acquisition of management rights in relation to the Wealthpac business, refer note 12.

Apart from the above there were no other transactions during the year ended 30 June 2006 with specified directors and specified executives, or their personally related entities.

(f) Transactions with other related parties

The company had an interest free intercompany account with each of its controlled entities. The amounts owed to the company by its controlled entities are disclosed in note 10 and the amounts owed by the company to its controlled entities are disclosed in note 19.

The company and its controlled entities have entered into a tax sharing arrangement, refer note 3.

All other transactions between the company and its controlled entities took place on normal commercial terms and conditions.

During the year Mr R A Illingworth, a director of the parent entity, was employed by a stockbroker who is part of a panel of stockbrokers providing stockbroking services for clients of the economic entity. Mr R A Illingworth does not personally provide these services.

A controlled entity acts as trustee for the Wealthpac Super Access Fund from which it receives administration fees. These fees are contractually agreed with members based on a percentage of assets under administration.

Apart from the above disclosures, all related party transactions took place on normal commercial terms and conditions.

(g) Parent entity

The parent entity in the consolidated entity is Equity Trustees Limited.

The ultimate Australian parent entity and ultimate parent entity is Equity Trustees Limited.

(h) Investments in managed investment schemes

Included in the investment portfolio of the company are interest bearing investments in managed investment schemes where the company acts as responsible entity. These investments are made on normal commercial terms and conditions. Refer also to note 33 (d).

32. Notes to the cash flow statement

(a) Reconciliation of cash and cash equivalents

For the purpose of the cash flow statement, cash includes cash on hand and in banks and investments in money market instruments, net of outstanding bank overdrafts. Cash at the end of the financial year as shown in the cash flow statement is reconciled to the related items in the Balance Sheet as follows:

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
Cash	1,020,621	995,419	452,991	241,961
Other current financial assets – short term deposits	7,945,937	9,180,432	7,945,937	9,180,432
Add unrealised loss	53,588	78,274	53,588	78,274
	7,999,525	9,258,706	7,999,525	9,258,706
Reserve Fund – Short term deposits	2,850,000	2,550,000	2,850,000	2,550,000
	11,870,146	12,804,125	11,302,516	12,050,667

(b) Reconciliation of profit for the period to net cash flows from operating activities

	Consolidated		Company	
	2006 $	2005 $	2006 $	2005 $
Profit for the period	5,155,546	3,402,951	3,897,447	2,718,483
(Profit) / loss on sale of investments	(586,494)	(782,092)	(586,494)	(782,092)
Depreciation and amortisation of non-current assets	308,049	240,869	265,158	226,631
(Profit) / loss on sale of plant and equipment	2,365	–	2,365	–
Equity-settled share-based payments	271,329	95,693	271,329	95,693
Interest income received and receivable	(876,640)	(685,205)	(848,282)	(660,199)
Dividends received and receivable	(522,005)	(983,371)	(353,005)	(983,371)
Increase / (decrease) in current tax liability	(105,422)	1,497,565	(105,422)	1,497,565
Increase / (decrease) in deferred tax liability	(248,001)	(205,586)	(248,001)	(205,586)
(Increase) / decrease in deferred tax asset	263,286	153,511	260,304	153,511
Other non cash expenses	–	37,188	–	37,188
(Increase) / decrease in assets:				
Current receivables	(522,471)	(414,868)	(623,672)	(513,299)
Other current assets	389,869	344,195	389,869	344,195
Non-current receivables	(500,772)	(200,878)	(500,772)	(354,947)
Other non-current assets	(719,279)	(307,022)	(713,941)	(307,022)
Increase / (decrease) in liabilities:				
Current payables	522,723	704,243	452,673	806,887
Current provisions	(18,359)	105,446	(18,359)	51,218
Other current liabilities	313,445	(85,327)	200,445	(85,327)
Non-current provisions	456,195	171,907	461,542	166,938
Other non-current liabilities	646,126	389,012	248,001	205,586
Net cash flows from operating activities	4,229,490	3,478,231	2,451,185	2,412,052

32. Notes to the cash flow statement (cont)

(c) Non-cash financing activities

During the 2006 financial year, 101,154 shares (2005: 55,373) were issued in accordance with the Dividend Reinvestment Plan (DRP) and nil (2005: 116,079) shares were issued in accordance with underwriting arrangements to cover the shortfall of shares not issued under the DRP.

33. Financial instruments

(a) Financial risk management objectives

The consolidated entity's main financial risk exposures relate to market and interest rate risk as these could impact the consolidated entity's investment assets and revenue streams. The consolidated entity does not have any borrowings. The consolidated entity has a number of committees that manage its financial risks. These include investment and due diligence committees.

The consolidated entity does not enter into or trade financial instruments, including derivative financial instruments, for speculative purposes, and the entity does not have any derivative instruments. The consolidated entity does not use hedging to manage its financial risks. Compliance with policies and exposure limits is reviewed by the Audit and Compliance Committee.

(b) Significant accounting policies

Details of the significant accounting policies and methods adopted, including the criteria for recognition, the basis of measurement and the basis on which income and expenses are recognised, in respect of each class of financial asset, financial liability and equity instrument are disclosed in note 1 to the financial statements.

33. Financial instruments (cont)

(c) Interest rate risk

The following table details the economic entity's exposure to interest rate risk as at the reporting date.

	Average Interest Rate %	Variable Interest Rate $	Fixed Maturity Dates: Less than 1 Year $	Fixed Maturity Dates: 1 to 5 Years $	Fixed Maturity Dates: More than 5 Years $	Non Interest Bearing $	Total $
2006							
Financial Assets							
Cash, short term deposits*	5.15	11,870,146					11,870,146
Receivables – trade						2,755,028	2,755,028
Receivables – other						970,645	970,645
Share investments*						7,999,756	7,999,756
Loans / mortgages	4.50				4,363		4,363
Total		11,870,146			4,363	11,725,429	23,599,938
Financial Liabilities							
Trade payables						2,113,276	2,113,276
Other payables						597,686	597,686
Employee entitlements						843,098	843,098
Directors' entitlements						442,036	442,036
Total						3,996,096	3,996,096
2005							
Financial Assets							
Cash, short term deposits	5.2	12,804,125					12,804,125
Receivables – trade						2,497,810	2,497,810
Receivables – other						977,512	977,512
Share investments*						7,632,582	7,632,582
Loans / mortgages	4.50				7,235		7,235
Total		12,804,125			7,235	11,107,904	23,919,264
Financial Liabilities							
Trade payables						1,599,163	1,599,163
Other payables						3,156,809	3,156,809
Employee entitlements						864,678	864,678
Directors' entitlements						359,109	359,109
Total						5,979,759	5,979,759

* Includes reserve fund

33. Financial instruments (cont)

(d) Credit risk management

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the consolidated entity. The consolidated entity has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral where appropriate, as a means of mitigating the risk of financial loss from defaults.

Trade accounts receivable consist of a large number of customers. Ongoing credit evaluation is performed on the financial condition of accounts receivable.

The consolidated entity does not have any significant credit risk exposure to any single counterparty or any group of counterparties having similar characteristics. The credit risk on liquid funds and derivative financial instruments is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies.

The carrying amount of financial assets recorded in the financial statements, net of any allowances for losses, represents the consolidated entity's maximum exposure to credit risk without taking account of the value of any collateral obtained.

As outlined in note 31 (h), included in the investment portfolio of the company are interest bearing investments in managed investment schemes where the company acts as responsible entity. Although the company has a prima facie credit exposure from these investments, this risk is not significant due to the existence of controls relating to the security of the underlying assets.

(e) Fair value of financial instruments

The directors consider that the carrying amount of financial assets and financial liabilities recorded in the financial statements approximates their fair values (2005: cost).

The fair values and net fair values of financial assets and financial liabilities are determined as follows:

- the fair value of financial assets and financial liabilities with standard terms and conditions and traded on active liquid markets are determined with reference to quoted market prices; and
- the fair value of other financial assets and financial liabilities are determined in accordance with generally accepted pricing models based on discounted cash flow analysis; and
- the fair value of derivative instruments, included in hedging assets and liabilities, are calculated using quoted prices. Where such prices are not available use is made of discounted cash flow analysis using the applicable yield curve for the duration of the instruments.

The consolidated entity's investment portfolio assets are accounted for as available-for-sale financial assets (refer note 1 (d)). In relation to these financial assets, transaction costs are included in the determination of net fair value.

(f) Liquidity risk management

The consolidated entity manages liquidity risk by maintaining adequate reserves and banking facilities, and also monitors the cashflow position.

34. Impacts of the adoption of Australian equivalents to International Financial Reporting Standards

The consolidated entity changed its accounting policies on 1 July 2005 to comply with Australian equivalents to International Financial Reporting Standards (A-IFRS). The transition to A-IFRS is accounted for in accordance with Accounting Standard AASB 1 'First-time Adoption of Australian Equivalents to International Financial Reporting Standards', with 1 July 2004 as the date of transition.

An explanation of how the transition from superseded policies to A-IFRS has affected the consolidated entity's income statement, balance sheet and cash flows is set out in the following tables and the notes that accompany the tables.

34. Impacts of the adoption of Australian equivalents to International Financial Reporting Standards (cont)

Effect of A-IFRS on the Balance Sheet as at 1 July 2004

		Consolidated			Company		
	Note	Superseded policies* $	Effect of transition to A-IFRS $	A-IFRS $	Superseded policies* $	Effect of transition to A-IFRS $	A-IFRS $
Current assets							
Cash and cash equivalents		909,507	–	909,507	271,526	–	271,526
Trade and other receivables		2,651,448	–	2,651,448	2,501,527	–	2,501,527
Managed investment funds	d	5,615,601	10,036	5,625,637	5,615,601	10,036	5,625,637
Reserve fund		2,350,000	–	2,350,000	2,350,000	–	2,350,000
Total current assets		11,526,556	10,036	11,536,592	10,738,654	10,036	10,748,690
Non-current assets							
Trade and other receivables		256,930	–	256,930	2,762,333	27,649	2,789,982
Other financial assets	d	1,136,020	3,549,306	4,685,326	1,136,032	3,549,306	4,685,338
Reserve fund		2,350,000	–	2,350,000	2,350,000	–	2,350,000
Intangible assets	a,b	5,193,050	1,052,017	6,245,067	–	1,052,017	1,052,017
Property, plant & equipment	h	1,023,426	(599,531)	423,895	980,259	(599,531)	380,728
Deferred tax assets	i	594,087	38,318	632,405	594,087	10,669	604,756
Total non-current assets		10,553,513	4,040,110	14,593,623	7,822,711	4,040,110	11,862,821
Total assets		22,080,069	4,050,146	26,130,215	18,561,365	4,050,146	22,611,511
Current liabilities							
Trade and other payables	g	1,359,582	174,891	1,534,473	1,204,681	174,891	1,379,572
Provisions		658,387	–	658,387	614,928	–	614,928
Other current liabilities		272,731	–	272,731	272,731	–	272,731
Current tax payable		196,999	–	196,999	196,999	–	196,999
Total current liabilities		2,487,699	174,891	2,662,590	2,289,339	174,891	2,464,230
Non-current liabilities							
Provisions	e,h	492,891	696,599	1,189,490	473,699	696,599	1,170,298
Other non-current liabilities		2,631,520	–	2,631,520	124,502	–	124,502
Deferred tax liabilities – investment revaluation	d	–	974,476	974,476	–	974,476	974,476
Total non-current liabilities		3,124,411	1,671,075	4,795,486	598,201	1,671,075	2,269,276
Total liabilities		5,612,110	1,845,966	7,458,076	2,887,540	1,845,966	4,733,506
Net assets		16,467,959	2,204,180	18,672,139	15,673,825	2,204,180	17,878,005
Equity							
Issued capital		12,849,247	–	12,849,247	12,849,247	–	12,849,247
Investment revaluation reserve	d	–	2,457,865	2,457,865	–	2,457,865	2,457,865
Reserves		1,754,201	–	1,754,201	1,754,201	–	1,754,201
Retained earnings	j	1,864,511	(253,685)	1,610,826	1,070,377	(253,685)	816,692
Total equity		16,467,959	2,204,180	18,672,139	15,673,825	2,204,180	17,878,005

* Reported financial position for the financial year ended 30 June 2004.

34. Impacts of the adoption of Australian equivalents to International Financial Reporting Standards (cont)

Effect of A-IFRS on the income statement for the financial year ended 30 June 2005

		Consolidated			Company		
		Superseded policies*	Effect of transition to A-IFRS	A-IFRS	Superseded policies*	Effect of transition toA-IFRS	A-IFRS
	Note	$	$	$	$	$	$
Revenue		18,717,529	–	18,717,529	15,420,106	–	15,420,106
Investment revenue	c,d	2,875,923	(1,008,576)	1,867,347	2,814,158	(1,008,576)	1,805,582
Total revenue		21,593,452	(1,008,576)	20,584,876	18,234,264	(1,008,576)	17,225,688
Employee benefits expenses	e,f	8,882,047	93,427	8,975,474	7,486,643	93,427	7,580,070
Other employment and consulting expenses		1,271,208	–	1,271,208	769,057	–	769,057
Finance costs	h	72,743	37,188	109,931	72,743	37,188	109,931
Audit and tax advice expenses		258,360	–	258,360	229,810	–	229,810
Depreciation and amortisation expense	h	158,599	82,270	240,869	144,361	82,270	226,631
Insurance expenses		711,307	–	711,307	625,280	–	625,280
Legal expenses		829,480	–	829,480	826,611	–	826,611
Marketing expenses		574,995	–	574,995	561,952	–	561,952
Information technology expenses		988,692	–	988,692	882,272	–	882,272
Occupancy expenses	g	929,451	21,031	950,482	786,320	21,031	807,351
Other expenses		696,723	–	696,723	608,748	–	608,748
Cost of investments sold	c	1,008,576	(1,008,576)	–	1,008,576	(1,008,576)	–
Impairment of non-current assets	d	(67,000)	67,000	–	(67,000)	67,000	–
Total expenses		16,315,181	(707,660)	15,607,521	13,935,373	(707,660)	13,227,713
Profit before income tax expense		5,278,271	(300,916)	4,977,355	4,298,891	(300,916)	3,997,975
Income tax expense		1,580,035	(5,631)	1,574,404	1,285,123	(5,631)	1,279,492
Profit from continuing operations		3,698,236	(295,285)	3,402,951	3,013,768	(295,285)	2,718,483
Profit from discontinued operations		–	–	–	–	–	–
Profit for the period		3,698,236	(295,285)	3,402,951	3,013,768	(295,285)	2,718,483
Profit attributable to members of the parent entity		3,698,236	(295,285)	3,402,951	3,013,768	(295,285)	2,718,483

* Reported financial results under previous Australian GAAP.

34. Impacts of the adoption of Australian equivalents to International Financial Reporting Standards (cont)

Effect of A-IFRS on the Balance Sheet as at 30 June 2005

		Consolidated			Company		
	Note	Superseded policies* $	Effect of transition to A-IFRS $	A-IFRS $	Superseded policies* $	Effect of transition to A-IFRS $	A-IFRS $
Current assets							
Cash and cash equivalents		995,419	–	995,419	241,961	–	241,961
Trade and other receivables		3,216,341	–	3,216,341	3,091,894	–	3,091,894
Prepaid expenses		391,105	–	391,105	344,195	–	344,195
Managed investment funds	d	9,258,706	(78,274)	9,180,432	9,258,706	(78,274)	9,180,432
Reserve fund		2,550,000	–	2,550,000	2,550,000	–	2,550,000
Total current assets		16,411,571	(78,274)	16,333,297	15,486,756	(78,274)	15,408,482
Non-current assets							
Trade and other receivables		192,610	–	192,610	192,610	–	192,610
Other financial assets	d	904,158	4,185,659	5,089,817	2,750,295	4,227,179	6,977,474
Reserve fund		2,550,000	–	2,550,000	2,550,000	–	2,550,000
Intangible assets	a,b	5,193,050	1,125,711	6,318,761	–	1,125,711	1,125,711
Property, plant and equipment	h	1,349,775	(755,495)	594,280	1,301,174	(755,495)	545,679
Deferred tax assets	i	747,597	43,948	791,545	747,598	2,428	750,026
Total non-current assets		10,937,190	4,599,823	15,537,013	7,541,677	4,599,823	12,141,500
Total assets		27,348,761	4,521,549	31,870,310	23,028,433	4,521,549	27,549,982
Current liabilities							
Trade and other payables	g	1,755,109	195,923	1,951,032	1,542,252	195,923	1,738,175
Provisions		880,544	–	880,544	782,857	–	782,857
Other current liabilities		3,121,814	–	3,121,814	525,289	–	525,289
Current tax payable		1,694,564	–	1,694,564	1,694,564	–	1,694,564
Total current liabilities		7,452,031	195,923	7,647,954	4,544,962	195,923	4,740,885
Non-current liabilities							
Provisions	e,h	666,385	731,521	1,397,906	642,224	731,521	1,373,745
Other non-current liabilities		34,995	–	34,995	124,502	–	124,502
Deferred tax liabilities – investment revaluation	d	–	1,180,062	1,180,062	–	1,180,062	1,180,062
Total non-current liabilities		701,380	1,911,583	2,612,963	766,726	1,911,583	2,678,309
Total liabilities		8,153,411	2,107,506	10,260,917	5,311,688	2,107,506	7,419,194
Net assets		19,195,350	2,414,043	21,609,393	17,716,745	2,414,043	20,130,788
Equity							
Issue capital	f	14,109,415	95,693	14,205,108	14,109,415	95,693	14,205,108
Investment revaluation reserve	d	–	2,867,323	2,867,323	–	2,867,323	2,867,323
Reserves		1,754,201	–	1,754,201	1,754,201	–	1,754,201
Retained earnings	j	3,331,734	(548,973)	2,782,761	1,853,129	(548,973)	1,304,156
Total equity		19,195,350	2,414,043	21,609,393	17,716,745	2,414,043	20,130,788

* Reported financial position under previous Australian GAAP.

34. Impacts of the adoption of Australian equivalents to International Financial Reporting Standards (cont)

Effect of A-IFRS on the cashflow statement for the year ended 30 June 2005.

There are no material differences between the cash flow statement presented under A-IFRS and the cash flow statement presented under the superseded policies.

Notes to the reconciliations of income and equity

(a) Business combinations and goodwill

The consolidated entity has elected not to restate business combinations that occurred prior to the date of transition to A-IFRS, and accordingly, the impacts of the adoption of A-IFRS on the financial report associated with past business combinations will be limited to the recognition of additional deferred tax assets and deferred tax liabilities and changes relating to amortisation of goodwill and annual impairment testing.

In addition a wholly owned subsidiary company, Equity Investment Management Limited (EIML), has acquired the management rights of the Wealthpac Access Master Trust. Under A-IFRS, intangible assets are required to be recognised separately from goodwill where they meet the criteria for separate recognition. The management rights have been separately recognised as an intangible asset since their acquisition by EIML. Refer note 34 (b) for further information regarding the impact of A-IFRS on the management rights.

Under A-IFRS, deferred tax liabilities and deferred tax assets acquired are measured on a different basis to superseded policies (refer note 34 (i)), and contingent liabilities that are reliably measurable are required to be recognised as part of the business combination. No additional deferred tax liabilities or assets, or contingent liabilities have been identified as requiring recognition on transition to A-IFRS.

(b) Management rights and impairment test

EIML acquired an intangible asset being the management rights of the Wealthpac Access Master Trust in 2003. Under A-IFRS, an intangible asset with an indeterminable life is subject to an annual impairment test. As at 30 June 2006 no impairment has been identified in relation to these management rights.

(c) Revenue from ordinary activities

Under superseded policies, the consolidated entity recognised the gain or loss on disposal of investments and plant and equipment on a 'gross' basis by recognising the proceeds from sale as revenue, and the carrying amount of the investment or plant and equipment disposed of as an expense. Under A-IFRS, the gain or loss on disposal is recognised on a 'net' basis, and is classified as income, rather than revenue. Accordingly, the 'gross' amounts have been reclassified within the income statement for A-IFRS reporting purposes.

(d) Financial instruments

The directors have determined the classifications that will apply to the various financial assets and financial liabilities held by the entity. Under A-IFRS, financial assets must be categorised as either: i) at fair value through profit or loss, ii) loans and receivables, iii) held-to-maturity, or iv) as available-for-sale. Financial liabilities must be categorised as either i) at fair value through the profit or loss or ii) as other financial liabilities. The classification of the financial assets and financial liabilities determines the measurement basis to be adopted. The entity does not have any derivatives.

The company's investments are classified as available-for-sale. Unrealised gains and losses on available-for-sale financial assets are recognised directly in the investment revaluation reserve through the statement of recognised income and expense, except for impairment losses and foreign exchange gains and losses which are recognised in the income statement (currently the entity does not have foreign currency denominated investments). A deferred tax liability is recorded in relation to unrealised gains and losses and the relevant tax expense is included directly in the revaluation reserve through the statement of recognised income and expense.

34. Impacts of the adoption of Australian equivalents to International Financial Reporting Standards (cont)

(d) Financial instruments (cont)

Under A-IFRS when gains and losses on investments are realised the full gain or loss will be recognised in the income statement and the investment revaluation reserve will be adjusted accordingly. Income tax arising on realised gains and losses will be included in income tax expense and the deferred tax liability and investment revaluation reserve are adjusted accordingly for the tax required to be transferred out on gains/(losses) being realised. Under superseded policies investments were recorded at cost less a provision for writedown.

For the financial year ended 30 June 2005, the investment revaluation reserve was $2,867,323 and as at transition date, 1 July 2004, $2,457,865. There is no impact on the net gain/(loss) on sale of investments recorded in the consolidated income statement. For the financial year ended 30 June 2005 a reduction in provision for share write down of $67,000 that was previously recognised under superseded policies was reversed.

(e) Employee benefits

Under A-IFRS the entity is required to discount to present value employee benefits liabilities that are not expected to be taken in the next 12 months. For financial year ended 30 June 2005 there was a decrease in non-current employee benefit provisions of $49,431 due to discounting to present value under A-IFRS, the impact on employee benefit expenses was $2,266.

(f) Share-based payments

For the financial year ended 30 June 2005 share-based payments of $95,693 were included in employee benefit expenses which would not have been recognised under the superseded policies, with a corresponding increase in the issued capital. The consolidated entity elected not to recognise share based payments that were granted after 7 November 2002 and vested before the later of the date of transition to A-IFRS and 1 January 2005. Therefore there was no impact on the opening balance sheet at 1 July 2004.

(g) Leases

Under AASB 117 Leases, operating lease payments are required to be recognised as an expense on a straight line basis unless another systematic basis is more representative of the time pattern of the user's benefits, even if the payments are not on that basis. The entity has a property lease under which there is a fixed increase each year. For the financial year ended 30 June 2005 additional property lease expense of $21,031 was recognised which would not have been recognised under superseded policies. For the financial year ended 30 June 2005 an additional payable of $195,923 is recognised that would not have been recognised under superseded policies. As at 1 July 2004 the amount was $174,891.

(h) Property, plant and equipment

On initial adoption of A-IFRS, the directors have elected that property, plant and equipment will be measured at cost. The consolidated entity is required to make good its leased premises and under AASB 116 Property, Plant and Equipment, the present value of the estimated cost has been capitalised at the beginning of the lease. For the financial year ended 30 June 2005 the leasehold asset carrying value is $370,216, and amortisation on the leasehold asset is $82,270. At 1 July 2004 the leasehold asset carrying value was $452,486. A liability for the estimated cost of making good the lease is included under non-current liabilities. For the financial year ended 30 June 2005 the liability is $780,952 and as at 1 July 2004, $743,764. The accounting estimate used for the makegood liability on transition to A-IFRS was subsequently revised, refer note 2.

34. Impacts of the adoption of Australian equivalents to International Financial Reporting Standards (cont)

(i) Income tax

Under superseded policies, the consolidated entity adopted tax-effect accounting principles whereby income tax expense was calculated on pre-tax accounting profits after adjustment for permanent differences. The tax-effect of timing differences, which occur when items were included or allowed for income tax purposes in a period different to that for accounting, were recognised at current taxation rates as deferred tax assets and deferred tax liabilities, as applicable.

Under A-IFRS, deferred tax is determined using the balance sheet liability method in respect of temporary differences arising from differences between the carrying amount of assets and liabilities in the financial statements and their corresponding tax bases.

The effect of the above adjustments on the deferred tax balances is as follows:

	Consolidated	
	1-Jul-04 $	30-Jun-05 $
Deferred tax not recognised under previous GAAP	974,476	1,180,062

The effect on consolidated profit for the financial year ended 30 June 2005 was to decrease the previously reported income tax expense by $5,631.

j) Retained earnings

The effect of the above adjustments on retained earnings (comparing retained earnings under A-IFRS to previously reported retained earnings under superseded policies) is as follows:

		Consolidated	
	Note	1-Jul-04 $	30-Jun-05 $
Expensing share-based payments		–	(95,693)
Other			
– Derecognition of share writedown	d	127,000	60,000
– Recognition of lease liabilities	g	(174,890)	(195,923)
– Employee benefits	e	47,165	49,431
– Make good leasehold	h	(291,278)	(410,736)
– Tax in relation to above adjustments		38,318	43,948
Total adjustment to retained earnings		(253,685)	(548,973)
Attributable to members of the parent entity		(253,685)	(548,973)

Independent audit report to the members of Equity Trustees Limited

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Scope

The financial report, compensation disclosures and directors' responsibility.

The financial report comprises the balance sheet, income statement, cash flow statement, statement of recognised income and expense, a summary of significant accounting policies and other explanatory notes and the directors' declaration for Equity Trustees Limited, for the financial year ended 30 June 2006 as set out on pages 56 to 103.

The company has disclosed information about the compensation of key management personnel ("compensation disclosures") as required by paragraphs Aus 25.4 to Aus 25.7.2 of Accounting Standard AASB 124 *Related Party Disclosures* ("AASB 124") under the heading "remuneration report" on pages 50 to 52 of the directors' report, and not in the financial report, as permitted by the *Corporations Regulations 2001*.

The directors of the company are responsible for the preparation and true and fair presentation of the financial report in accordance with Accounting Standards in Australia and the Corporations Act 2001. This includes responsibility for the maintenance of adequate financial records and internal controls that are designed to prevent and detect fraud and error, and for the accounting policies and accounting estimates inherent in the financial report. The directors are also responsible for the compensation disclosures contained in the directors' report.

Audit approach

We have conducted an independent audit of the financial report and compensation disclosures in order to express an opinion on them to the members of the company. Our audit has been conducted in accordance with Australian Auditing Standards to provide reasonable assurance whether the financial report is free of material misstatement and the compensation disclosures comply with AASB 124. The nature of an audit is influenced by factors such as the use of professional judgement, selective testing, the inherent limitations of internal controls, and the availability of persuasive rather than conclusive evidence. Therefore, an audit cannot guarantee that all material misstatements have been detected.

We performed procedures to form an opinion whether, in all material respects, the financial report is presented fairly in accordance with Accounting Standards in Australia and the Corporations Act 2001 so as to present a view which is consistent with our understanding of the company's financial position, and performance as represented by the results of its operations, its changes in equity and its cash flows and whether the compensation disclosures comply with AASB 124.

Independent audit report to the members of Equity Trustees Limited (cont)

Our procedures included examination, on a test basis, of evidence supporting the amounts and other disclosures in the financial report, and the evaluation of accounting policies and significant accounting estimates made by the directors.

While we considered the effectiveness of management's internal controls over financial reporting when determining the nature and extent of our procedures, our audit was not designed to provide assurance on internal controls.

The audit opinion expressed in this report has been formed on the above basis.

Audit Opinion

In our opinion:

(1) the financial report of Equity Trustees Limited is in accordance with the Corporations Act 2001, including:

(i) giving a true and fair view of the company's financial position as at 30 June 2006 and of its performance for the year ended on that date; and

(ii) complying with Accounting Standards in Australia and the Corporations Regulations 2001; and

(2) the compensation disclosures that are contained under the heading "remuneration report" on pages 50 to 52 of the directors' report comply with paragraphs Aus 25.4 to Aus 25.7.2 of Accounting Standard AASB 124 *Related Party Disclosures*.

DELOITTE TOUCHE TOHMATSU

Peter A Caldwell
Partner
Chartered Accountants

6 September 2006

Statement of Shareholdings

The company's shares are listed on the Australian Stock Exchange.
The issued capital of the company as at 31 August 2006 comprising 7,689,109 fully paid ordinary shares is held by 1,040 shareholders as follows:

SIZE OF HOLDING	HOLDERS OF ORDINARY SHARES
1 – 1,000*	372
1,001 – 5,000	447
5,001 – 10,000	117
10,001 – 100,000	95
100,001 and over	9
	1,040

*Number of shareholders holding less than a marketable parcel ($500) based on the market price of $17.50 as at 31 August 2006 was 8

TWENTY LARGEST SHAREHOLDERS AS AT 31 AUGUST 2006	NO. OF SHARES	%
1. Equity Nominees Limited	1,100,707	14.43
2. Futuris Corporation Limited	664,444	8.64
3. Permanent Trustee Company Limited	474,267	6.17
4. Futuris Corporation Limited	410,011	5.33
5. Milton Corporation Limited	219,800	2.86
6. DB Management Pty Ltd	158,537	2.06
7. Janvin Pty Ltd	138,475	1.80
8. NBT Pty Ltd	110,601	1.44
9. Mirrabooka Investments Limited	105,390	1.37
10. Amcil Limited	100,000	1.30
11. NBT Pty Ltd	91,491	1.19
12. Mr Vernon Thomas Hauser	63,500	0.83
13. Mr Berge Der Sarkissian	59,061	0.77
14. Trust Company Superannuation Services Ltd – PSF A/c	52,395	0.68
15. Fatofa Investments Pty Ltd	52,182	0.68
16. Mr James Bolton Leslie	50,426	0.66
17. MLEQ Nominees Ltd	46,583	0.60
18. Mr Ian George Mansbridge	46,308	0.60
19. Mrs Margaret Crutch	45,653	0.59
20. Linda Crescent Pty Ltd	40,955	0.53

Substantial Shareholders

At 31 August 2006, substantial shareholder notices had been received from the following shareholders:

	Shares Held
• Futuris Corporation Limited	935,848
• Equity Nominees Limited as nominee for Equity Trustees Limited as responsible entity for the Professional Investor Smaller Companies Trust and as executor for deceased estates, manager of investment portfolios and trustee of continuing estates	943,038
• Trust Company of Australia Limited	535,535
• N Burton-Taylor	337,825

Directory

Board of Directors:

Philip G Molyneux,
B.Econ, FCA. (Chairman, Non-executive)

Peter J Williams,
Dip.AII, MAICD, FAIM. (Managing Director)

David F Groves,
B.Com, M.Com, CA, FAICD (Non-executive)

John R McConnell,
B.Com, FAICD, FAIM, F Fin (Non-executive)

Barry J Jackson,
B.Com (Hons), MAICD (Non-executive)

J A (Tony) Killen,
Dip.AII, FAICD, FAIM (Non-executive)

Ross A Illingworth,
B.Bus (HR), GAICD, CFP (Non-executive)
(resigned 31 August 2006)

Company Secretary/ Chief Financial Officer:

Terry Ryan,
B.Bus, CA, F Fin

Joint Company Secretary:

Philip Maddox,
LLB, BA, GDipAppFin (Finsia)

Auditor:

Deloitte Touche Tohmatsu
180 Lonsdale Street
Melbourne, Victoria 3000

Share Registry:

Computershare Investor Services Pty Ltd
Yarra Falls, 452 Johnston Street
Abbotsford, Victoria, 3067

Registered Office:

Level 2, 575 Bourke St.
Melbourne, Victoria 3000
Telephone: (03) 8623 5000
Facsimile: (03) 8623 5200
Email: equity@eqt.com.au

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Australian Financial Services
Licence No 240975

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